



SECURITIES AND EXCHANGE COMMISSION

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The following document has been received:

Receiving: ICTD ERMD

Receipt Date and Time: June 19, 2026 11:36:45 AM

Company Information

SEC Registration No.: A199909780

Company Name: METROPOLITAN INSURANCE CO. INC.

Industry Classification: J67030

Company Type: Stock Corporation

Document Information

Document ID: OST106192026811659289

Document Type: Financial Statement

Document Code: FS

Period Covered: December 31, 2025

Submission Type: Annual

Remarks: None

Acceptance of this document is subject to review of forms and contents

COVER SHEET

for AUDITED SEPARATE FINANCIAL STATEMENTS

SEC Registration Number

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COMPANY NAME

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PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

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Form Type

A	A	F	S
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Department requiring the report

Secondary License Type, If Applicable

COMPANY INFORMATION

Company's email Address

metropolitan@miciph.com

Company's Telephone Number/s

02 8867 2888

Mobile Number

0996 815 6226

No. of Stockholders

6

Annual Meeting (Month / Day)

3rd Monday of June

Fiscal Year (Month / Day)

December 31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Adam Benedict A. Lavadia

Email Address

alavadia@miciph.com

Telephone Number/s

02 8867 2888

Mobile Number

0917 637 1991

CONTACT PERSON'S ADDRESS

3/F Athenaeum Bldg., 160 L.P. Leviste St., Salcedo Village, Makati City

Note 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

METROPOLITAN INSURANCE COMPANY, INC.

SEPARATE FINANCIAL STATEMENTS
December 31, 2025 and 2024

With Independent Auditors' Report

R.G. Manabat & Co.



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Philippines 1209
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REPORT OF INDEPENDENT AUDITORS

The Board of Directors and Stockholders
Metropolitan Insurance Company, Inc.
3/F Athenaeum Bldg., 160 L.P. Leviste St.
Salcedo Village, Makati City

Report on the Audit of the Separate Financial Statements

Opinion

We have audited the separate financial statements of Metropolitan Insurance Company, Inc. (the Company), which comprise the separate statements of financial position as at December 31, 2025 and 2024, and the separate statements of profit or loss and other comprehensive income, changes in equity and cash flows for the years then ended, and notes, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying separate financial statements present fairly, in all material respects, the unconsolidated financial position of the Company as at December 31, 2025 and 2024, and its unconsolidated financial performance and its cash flows for the years then ended in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Philippine Standards on Auditing (PSA). Our responsibilities under those standards are further described in the *Auditors Responsibilities for the Audit of the Separate Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics), as applicable to audits of financial statements of public interest entities, together with the ethical requirements that are relevant to our audit of the separate financial statements of public interest entities in the Philippines. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Firm Regulatory Registration & Accreditation:

PRC-BOA Registration No. 0003, valid until September 20, 2026

SEC Accreditation No. 0003-SEC, Group A, valid for the audit of annual financial statements for the year ended December 31, 2024 until the year ended December 31, 2025, pursuant to SEC Notice dated April 4, 2025, and Certificate of Accreditation issued on March 19, 2026, valid for five (5) years covering the audit of 2026 to 2030 financial statements

BSP Selected EAs of BSFIs-Group A, valid for five (5) years covering the audit of 2025 to 2029 financial statements under BSP Letter No. FSD VI-2025-02-0054g-FSD6L-External

Material Uncertainty Related to Going Concern

We draw attention to Note 1 to the financial statements, which states that the Company was placed under conservatorship by the Insurance Commission on March 25, 2026 for non-compliance with the net worth requirement. Streetcorner Ecommerce Limited, the Parent Company, subsequently addressed this matter through a capital infusion on April 10, 2026. However, as of this date, the Company's conservatorship status has not yet been lifted. As disclosed in Note 1, this condition, among others, indicates the existence of a material uncertainty that may cast significant doubt on the Company's ability to continue as a going concern. Note 1 also sets out the Company's concrete plan to address this matter. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Separate Financial Statements

Management is responsible for the preparation and fair presentation of the separate financial statements in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the separate financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSA will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these separate financial statements.

As part of an audit in accordance with PSA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the separate financial statements, including the disclosures, and whether the separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

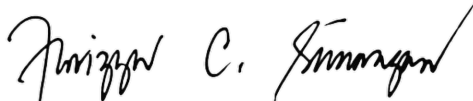
We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

Report on the Supplementary Information Required Under Revenue Regulation No. 15-2010 of the Bureau of Internal Revenue

Our audit was conducted for the purpose of forming an opinion on the basic separate financial statements taken as a whole. The supplementary information in Note 34 to the basic separate financial statements is presented for purposes of filing with the Bureau of Internal Revenue and is not a required part of the basic separate financial statements. Such supplementary information is the responsibility of management. The supplementary information has been subjected to the auditing procedures applied in our audit of the basic separate financial statements. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic separate financial statements taken as a whole.

R.G. MANABAT & CO.



FLORIZZA C. SIMANGAN

Partner

CPA License No. 0147917

IC Accreditation No. 147917-IC, Group A, valid for five (5) years
covering the audit of 2021 to 2025 and

IC Accreditation No. IC-EA-2026-0088-R, Group A, valid for three (3) years
covering the audit of 2026 to 2028 financial statements

SEC Accreditation No. 147917-SEC, Group A, valid for five (5) years
covering the audit of 2021 to 2025 financial statements

Tax Identification No. 429-267-284

BIR Accreditation No. 08-001987-050-2025

Issued June 9, 2025; effectivity January 7, 2025; validity January 6, 2028

PTR No. MKT 10764414

Issued January 5, 2026 at Makati City

June 16, 2026

Makati City, Metro Manila

R.G. Manabat & Co.



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SUPPLEMENTAL WRITTEN STATEMENT OF AUDITORS

The Board of Directors and Stockholders
Metropolitan Insurance Company, Inc.
3/F Athenaeum Bldg., 160 L.P. Leviste St.
Salcedo Village, Makati City

We have audited the accompanying separate financial statements of Metropolitan Insurance Company, Inc. (the Company) as at and for the year ended December 31, 2025, on which we have rendered our report dated June 16, 2026.

In compliance with the Revised Securities Regulation Code Rule 68, we are stating that the said Company has one (1) stockholder owning one hundred (100) or more shares.

R.G. MANABAT & CO.

FLORIZZA C. SIMANGAN

Partner

CPA License No. 0147917

IC Accreditation No. 147917-IC, Group A, valid for five (5) years
covering the audit of 2021 to 2025 and

IC Accreditation No. IC-EA-2026-0088-R, Group A, valid for three (3) years
covering the audit of 2026 to 2028 financial statements

SEC Accreditation No. 147917-SEC, Group A, valid for five (5) years
covering the audit of 2021 to 2025 financial statements

Tax Identification No. 429-267-284

BIR Accreditation No. 08-001987-050-2025

Issued June 9, 2025; effectivity January 7, 2025; validity January 6, 2028

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Issued January 5, 2026 at Makati City

June 16, 2026

Makati City, Metro Manila

Firm Regulatory Registration & Accreditation:

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SEC Accreditation No. 0003-SEC, Group A, valid for the audit of annual financial statements for the year ended December 31, 2024
until the year ended December 31, 2025, pursuant to SEC Notice dated April 4, 2025, and Certificate of Accreditation issued on
March 19, 2026, valid for five (5) years covering the audit of 2026 to 2030 financial statements

BSP Selected EAs of BSFIs-Group A, valid for five (5) years covering the audit of 2025 to 2029
financial statements under BSP Letter No. FSD VI-2025-02-0054g-FSD6L-External

METROPOLITAN INSURANCE COMPANY, INC.
SEPARATE STATEMENTS OF FINANCIAL POSITION

December 31			
	Note	2025	2024
ASSETS			
Cash and cash equivalents	4, 28	P876,361,214	P872,426,786
Insurance receivables - net	5, 28, 30	66,957,950	50,020,239
Financial assets:	6, 28, 30, 31		
Available-for-sale financial assets		190,944	214,456
Held-to-maturity investments		334,314,374	328,352,094
Loans and receivables		4,443,897	4,157,453
Investment at fair value through profit or loss		120,073	115,195
Due from related party		200,000,000	-
Advances to a subsidiary		-	200,000,000
Investment in a subsidiary	7, 28, 30, 31	81,821,881	81,821,881
Reinsurance assets	8, 28	23,788,251	44,676,046
Deferred acquisition costs	9, 28	14,032,537	9,922,820
Property and equipment - net	10, 28	16,254,501	16,366,164
Investment property	11, 28	16,260,000	-
Right-of-use asset - net	25, 28	2,154,772	5,386,930
Other assets	12, 28	22,818,547	22,776,800
		P1,659,518,941	P1,636,236,864
LIABILITIES AND EQUITY			
Liabilities			
Insurance contract liabilities	13, 28, 30, 31	P90,715,433	P96,894,668
Insurance payable	14, 28, 30, 31	3,323,262	7,769,518
Commissions payable	28, 30, 31	19,958,072	11,942,435
Deferred reinsurance commissions	9, 28	1,061,551	1,648,756
Pension liability	16, 28	1,449,224	1,635,039
Lease liability	25, 28	2,480,382	6,029,132
Deferred tax liability - net	23, 28	5,475,184	4,044,474
Other payables	15, 28	10,191,462	8,269,762
Total Liabilities		134,654,570	138,233,784
Equity			
Capital stock	24	1,510,482,753	1,510,482,753
Contributed surplus	24	20,603,655	20,603,655
Revaluation reserve on:			
Available-for-sale financial assets	6	18,748	36,383
Property and equipment	10	10,467,084	6,396,834
Remeasurement gains on defined benefit plan	16	3,586,502	2,636,507
Deficit	24	(20,294,371)	(42,153,052)
Total Equity		1,524,864,371	1,498,003,080
		P1,659,518,941	P1,636,236,864

See Notes to the Separate Financial Statements.

METROPOLITAN INSURANCE COMPANY, INC.
SEPARATE STATEMENTS OF PROFIT OR LOSS
AND OTHER COMPREHENSIVE INCOME

Years Ended December 31			
	Note	2025	2024
Gross earned premiums on insurance contracts		P98,885,863	P97,830,229
Reinsurers' share of gross earned premiums		(20,542,203)	(24,447,445)
NET EARNED INSURANCE PREMIUMS	17	78,343,660	73,382,784
Investment income	20	53,966,403	70,287,628
Commission income	9	3,074,574	4,181,074
Other income	18	4,376,878	524,916
OTHER REVENUE		61,417,855	74,993,618
TOTAL REVENUE		139,761,515	148,376,402
Gross insurance contract benefits and claims paid	13, 19	23,074,805	31,620,237
Reinsurers' share of gross insurance contract benefits and claims paid	13	(1,905,442)	(14,827,409)
Gross change in insurance contract liabilities	19	(18,837,010)	(12,470,196)
Reinsurers' share of gross change in insurance contract liabilities	19	18,104,925	15,721,806
NET INSURANCE BENEFITS AND CLAIMS		20,437,278	20,044,438
Operating expenses	21	48,082,605	59,886,326
Commissions expense	9	25,322,021	25,749,317
Other underwriting expense	22	14,598,779	12,558,853
OTHER EXPENSES		88,003,405	98,194,496
TOTAL BENEFITS, CLAIMS, AND OTHER EXPENSES		108,440,683	118,238,934
INCOME BEFORE INCOME TAX		31,320,832	30,137,468
Current income tax		9,382,313	12,861,902
Deferred income tax		79,838	68,052
PROVISION FOR INCOME TAX	23	9,462,151	12,929,954
NET INCOME		21,858,681	17,207,514
OTHER COMPREHENSIVE INCOME (LOSS)			
<i>Item that will be reclassified to profit or loss in subsequent periods</i>			
Net changes in the revaluation reserves on available-for-sale financial assets - net of tax	6	(17,635)	(11,925,243)
<i>Item that will not be reclassified to profit or loss in subsequent periods</i>			
Remeasurement gain on defined benefit plan	16	949,995	115,825
Revaluation reserve on property and equipment	10	4,070,250	408,000
Total other comprehensive income (loss)		5,002,610	(11,401,418)
TOTAL COMPREHENSIVE INCOME		P26,861,291	P5,806,096

See Notes to the Separate Financial Statements.

METROPOLITAN INSURANCE COMPANY, INC.
SEPARATE STATEMENTS OF CHANGES IN EQUITY

Years Ended December 31

		Capital Stock (Note 24)	Contributed Surplus (Note 24)	Revaluation Reserve on Available-for- Sale Financial Assets (Note 6)	Revaluation Reserve on Property and Equipment (Note 10)	Remeasurement Gains on Defined Benefit Plan (Note 16)	Deficit (Note 24)	Total
	Note							
Balance at January 1, 2024		P1,110,482,753	P20,603,655	P11,961,626	P5,988,834	P2,520,682	(P59,360,566)	P1,092,196,984
Issuance of shares during the year		400,000,000	-	-	-	-	-	400,000,000
Net income during the year		-	-	-	-	-	17,207,514	17,207,514
Other comprehensive loss	6, 10, 16	-	-	(11,925,243)	408,000	115,825	-	(11,401,418)
Total comprehensive income for the year		-	-	(11,925,243)	408,000	115,825	17,207,514	5,806,096
Balance at December 31, 2024		1,510,482,753	20,603,655	36,383	6,396,834	2,636,507	(42,153,052)	1,498,003,080
Net income during the year		-	-	-	-	-	21,858,681	21,858,681
Other comprehensive income (loss)	6, 10, 16	-	-	(17,635)	4,070,250	949,995	-	5,002,610
Total comprehensive income for the year		-	-	(17,635)	4,070,250	949,995	21,858,681	26,861,291
Balance at December 31, 2025		P1,510,482,753	P20,603,655	P18,748	P10,467,084	P3,586,502	(P20,294,371)	P1,524,864,371

See Notes to the Separate Financial Statements.

METROPOLITAN INSURANCE COMPANY, INC.
SEPARATE STATEMENTS OF CASH FLOWS

Years Ended December 31			
	Note	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax		P31,320,832	P30,137,468
Adjustments for:			
Interest income	20	(43,653,525)	(62,497,257)
Commission expense	9	25,322,021	25,749,317
Commission income	9	(3,074,574)	(4,181,074)
Depreciation	21	3,601,042	3,467,759
Impairment loss - net	21	3,323,048	13,344,766
Change in unearned premium provision		15,440,645	(5,281,562)
Interest expense	21, 25	247,989	444,037
Pension expense	16, 21	764,180	706,781
Foreign exchange gain		(3,444,424)	(157,258)
Changes in fair value of investment property	20	(10,308,000)	-
Net gain from sale of available-for-sale financial assets	20	-	(891,667)
Change in fair value on investments at fair value through profit or loss	20, 32	(4,878)	(6,898,704)
Operating income (loss) before working capital changes		19,534,356	(6,057,394)
Changes in:			
Insurance receivables		(20,257,998)	(5,329,689)
Loans and receivables		(1,476,217)	3,884,603
Investments in fair value through profit or loss	32	-	6,893,179
Reinsurance assets		18,104,925	15,721,806
Deferred acquisition costs		(29,431,738)	(22,964,078)
Other assets		(41,747)	(4,917,161)
Insurance contract liabilities		(18,837,010)	(12,470,196)
Insurance payables		(4,446,256)	(7,030,036)
Commissions payable		8,015,637	(780,775)
Deferred reinsurance commissions		2,487,369	3,667,524
Other payables		1,921,700	(2,721,857)
Net cash used in operations	32	(24,426,979)	(32,104,074)
Interest received		24,351,852	43,566,020
Income tax paid	23	(7,737,723)	(12,466,963)
Net cash provided by (used in) operating activities	32	(7,812,850)	(1,005,017)
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisitions of:			
Held-to-maturity investments	6	(191,562,403)	(294,934,936)
Property and equipment	10	(782,221)	(337,112)
Maturities of held-to-maturity investments	6	191,700,000	295,800,000
Advances to a subsidiary	6	-	(200,000,000)
Interest received		12,746,978	10,285,622
Proceeds from sale of available-for-sale financial assets		-	1,050,000
Net cash used in investing activities	32	12,102,354	(188,136,426)

Forward

Years Ended December 31			
	Note	2025	2024
CASH FLOWS FROM FINANCING ACTIVITY			
Payment of lease liability	25, 26	(P3,796,739)	(P3,796,739)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS		492,765	(192,938,182)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR		872,426,786	1,065,213,305
EFFECT OF EXCHANGE RATE CHANGES IN CASH AND CASH EQUIVALENTS		3,441,663	151,663
CASH AND CASH EQUIVALENTS AT END OF YEAR	4, 28	P876,361,214	P872,426,786

See Notes to the Separate Financial Statements.

METROPOLITAN INSURANCE COMPANY, INC.
NOTES TO THE SEPARATE FINANCIAL STATEMENTS

1. Reporting Entity

Metropolitan Insurance Company, Inc. (the Company) was registered with the Philippine Securities and Exchange Commission (SEC) on July 7, 1999. The Company is primarily engaged in the business of nonlife insurance, indemnifying others against loss, damage, or liability from unknown or contingent events and to act as agent to other insurance or surety companies, or any of its branches, including life insurance. It includes lines such as health, accident, fire and allied lines, motor vehicle, casualty, surety, marine cargo, marine hull, comprehensive liability insurance and allied risks, and/or such other insurance coverage allied with, and incident to aforementioned lines.

On November 11, 2023, the Company obtained 59.99% of ownership OWN Bank, The Rural Bank of Cavite City, Inc. (OWN Bank). With this, the Company has become parent company of OWN Bank, a rural bank registered and incorporated located in Cavite, Philippines.

The Company is a wholly-owned subsidiary of Streetcorner Ecommerce Limited (SEL or the Parent Company). The Company's ultimate parent is Silvrr Technology Co., Ltd, a holdings company. It is an unlisted company that is incorporated and registered in Cayman Islands.

On January 14, 2025, the Insurance Commission (IC) renewed the license of the Company as a nonlife domestic insurance company and valid until December 31, 2027.

The registered office address of the Company is 3/F Athenaeum Bldg., 160 L.P. Leviste St., Salcedo Village, Makati City.

Status of Operations

On March 25, 2026, the Company received a Cease-and-Desist Order (CDO) from the Insurance Commission (IC) after failing to address its P50.43 million net worth deficiency as of June 30, 2025. As a result, the Company was placed under conservatorship.

To address the deficiency, the Company's Board of Directors approved a P50.43 million capital infusion from the Parent Company on March 19, 2026; however, the amount was paid only on April 10, 2026. While the CDO was in effect, management implemented corrective measures and resolutions to strengthen governance, improve operational controls, ensure regulatory compliance, and support the Company's financial recovery and long-term sustainability. As of this date, the CDO has not been lifted, giving rise to a material uncertainty related to going concern.

Nevertheless, the Parent Company has committed to provide financial support to help the Company lift its conservatorship status to continue operations, and meet all financial obligations over the next twelve (12) months.

Based on these factors, management reasonably expects that the Company will have sufficient resources to continue operating and has assessed that it remains a going concern. Accordingly, the financial statements have been prepared on a going concern basis, which assumes the realization of assets and settlement of liabilities in the normal course of business.

2. Basis of Preparation

Statement of Compliance

The separate financial statements of the Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards, which include all applicable PFRS Accounting Standards, Philippine Accounting Standards (PASs), and interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC), Philippine Interpretations Committee (PIC) and Standing Interpretations Committee (SIC) as approved by the Financial and Sustainability Reporting Standards Council (FSRSC) and adopted by the SEC.

The Company is not required to prepare consolidated financial statements since the Ultimate Parent Company prepares consolidated financial statements that comply with Financial Reporting Standards and all its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the parent not presenting consolidated financial statements, the Company's debt and equity securities are not traded in a public market, and it did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organization for the purpose of issuing any class of instruments in a public market. The consolidated financial statements have been produced for public use and comply with PFRS Accounting Standards, in which subsidiaries are consolidated or are measured at fair value through profit or loss. The consolidated financial statements are obtainable at the Ultimate Parent Company's registered office address.

These separate financial statements were authorized for issue by the Company's Board of Directors (BOD) on May 29, 2026.

Basis of Measurement

The separate financial statements have been prepared on the historical cost basis except for the following items, which are measured on an alternative basis on each reporting date.

Items	Measurement Bases
Available-for-sale (AFS) financial assets	Fair value unless not measured reliably
Investment at fair value through profit or loss (FVPL)	Fair value
Office condominiums (under Property and equipment)	Fair value
Investment property	Fair value
Retirement liability	Present value of the defined benefit obligation (DBO)
Lease liabilities	Present value of the lease payments not yet paid discounted using the Company's incremental borrowing rate

Functional and Presentation Currency

The separate financial statements are presented in Philippine Peso, the Company's functional currency, and all values represent absolute amounts except when otherwise indicated.

Presentation of Separate Financial Statements

The Company presents its separate statement of financial position in order of liquidity. An analysis regarding recovery or settlement within twelve (12) months after the reporting date (current) and more than 12 months after the reporting date (noncurrent) is presented in Note 28.

3. Significant Accounting Estimates and Judgments

The preparation of the separate financial statements in accordance with PFRS Accounting Standards requires the Company to make estimates and judgments that affect the reported amounts of assets, liabilities, income and expenses, and disclosure of contingent assets and contingent liabilities. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the separate financial statements as they become reasonably determinable.

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Company's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the separate financial statements:

a. Classifying Financial Instruments

The Company exercises judgment in classifying a financial instrument, or its components, on initial recognition either as a financial asset, financial liability or an equity in accordance with the substance of the contractual arrangement and the definitions of a financial asset, a financial liability or an equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the separate statement of financial position.

b. Determination of Fair Value of Financial Instruments

The Company classifies financial assets by evaluating, among others, whether a financial asset is quoted or not in an active market. Included in the evaluation on whether a financial asset is quoted in an active market is the determination of whether quoted prices are readily and regularly available, whether the market from which the price quotes were obtained can be considered deep enough to qualify as an "active" market, and whether those prices represent actual and regularly occurring market transactions on an arms' length basis.

Where the fair values of financial assets recorded in the separate statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The Company uses judgment to select from variety of valuation models and make assumptions regarding considerations of liquidity and model inputs such as correlation and volatility for longer dated financial instruments. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair value.

As at December 31, 2025 and 2024, the Company's financial assets measured at fair value amounted to P0.19 million and P0.21 million, respectively (see Note 6).

c. Impairment of AFS Financial Assets

The Company treats AFS equity securities as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is "significant" or "prolonged" requires judgment.

In 2025 and 2024, the Company did not recognize any impairment on its AFS equity investments.

d. Ability to Continue as a Going Concern

The separate financial statements have been prepared on the assumption that the Company will continue as a going concern. Management rendered its judgment in assuming that the financial and operational support of SEL would be sufficient to allow the Company to pay its obligation as they fall due, including compliance with the regulatory requirements, and will enable the Company to recover its deficit in the foreseeable future.

Estimates and Assumptions

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the reporting, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

a. Claims Liability Arising from Insurance Contracts

For nonlife insurance contracts, estimates have to be made both for the expected ultimate cost of claims reported at the reporting date and for the expected ultimate cost of the Incurred But Not Reported (IBNR) Losses claims at the reporting date. It can take a significant period of time before the ultimate claim costs can be established with certainty. At each reporting date, prior year claims estimates are assessed for adequacy and changes made are charged to provision. Nonlife insurance claims provisions are not discounted for the time value of money.

The main assumption underlying the estimation of the claims provision is that the Company's past claims development experience can be used to project future claims development, and hence, ultimate claim costs. Historical claims development is mainly analyzed by accident years as well as by significant business lines and claim types. Large claims are usually separately addressed, either by being reserved at the face value of loss adjuster estimates or separately projected in order to reflect their future development.

Additional qualitative judgment is used to assess the extent to which past trends may not apply in the future (e.g., to reflect one-off occurrences, changes in external or market factors such as public attitudes to claiming, economic conditions, levels of claims inflation, judicial decisions and legislation, as well as, internal factors such as portfolio mix, policy conditions and claims handling procedures), in order to arrive at the estimated ultimate cost of claims that present the likely outcome from the range of possible outcomes, taking into account the uncertainties involved.

The carrying values of claims reported and IBNR amounted to P37.01 million and P55.85 million as at December 31, 2025 and 2024, respectively (see Note 13).

b. *Liability Adequacy Test*

At each reporting period, management performs liability adequacy test to determine if there is a need to set aside expected claims and expenses which could arise during the unexpired coverage period of the policies after the reporting date which is over and above the reserve for unearned premiums less. The Company calculated the best estimate of future claims and expenses for each line of business using actuarial valuation techniques. Expected future claims include policy maintenance and claims handling expenses.

As at December 31, 2025 and 2024, the carrying amount of the reserve for unearned premium, net of deferred acquisition cost, amounting to P39.67 million and P31.13 million, respectively, are adequate in light of the latest current estimates and taking into the provision of PFRS 4, *Insurance Contracts* (see Notes 9 and 13).

c. *Impairment of Insurance Receivable*

The Company reviews its insurance receivables at each reporting date to assess whether an allowance for impairment should be recorded in profit or loss. In particular, judgment by management is required in the estimation of the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

The level of this allowance is evaluated by management on the basis of factors that affect the collectability of the accounts. These factors include, but are not limited to, age of balances, financial status of counterparties, payment behavior, and known market factors. The Company reviews the age and status of receivables and identifies accounts that are to be provided with allowance on a regular basis.

Insurance receivables net of allowance for doubtful accounts amounted to P66.96 million and P50.02 million as at December 31, 2025 and 2024, respectively. The Company recognized provision for impairment losses on receivables amounting to P3.32 million and P13.34 million in 2025 and 2024, respectively (see Note 5).

d. *Valuation of Land and Office Condominium Units at Fair Value*

The Company's land and office condominium units are carried at fair value, which has been determined based on market data approach. In determining the fair value, the Company's external appraiser used generally accepted methodologies. There have been no significant changes on the valuation methodology used by the external appraiser. The valuation methodology and significant inputs used in the valuation are detailed in Note 10 and 11.

The carrying value of properties carried at fair value amounted to P31.59 million and P15.85 million as at December 31, 2025 and 2024, respectively (see Notes 10 and 11).

e. Realizability of Deferred Tax Assets

Deferred tax assets are recognized for all temporary future tax benefits to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized. These assets are periodically reviewed to determine the amount of deferred tax assets that can be recognized. Periodic reviews cover the nature and amount of deferred income and expense items, expected timing when assets will be used or liabilities will be required to be reported, reliability of historical profitability of businesses expected to provide future earnings and tax planning strategies which can be utilized to increase the likelihood that deferred tax assets will be realized.

As at December 31, 2025 and 2024, unrecognized deferred tax assets amounted to P22.09 million and P32.19 million, respectively (see Note 23).

f. Impairment of Investment in Subsidiary

The Company assesses impairment on investment in subsidiary whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. The factors that the Company considers important which could trigger an impairment review include the following:

- significant underperformance relative to expected historical or projected future operating results;
- significant changes in the manner of use of the acquired assets or the strategy for overall business; and
- significant negative industry or economic trends.

An assessment is made at each reporting date of whether there is any indication of impairment of an asset, or whether there is any indication that an impairment loss previously recognized for an asset in prior years may no longer exist or may have decreased. If any such indication exists, the asset's recoverable amount is estimated. An asset's recoverable amount is calculated at the higher of the asset's value in use or its net selling price.

An impairment loss is recognized only if the carrying amount of an asset exceeds its recoverable amount. An impairment loss is charged against current operations in the year in which it arises.

The carrying amount of investment in subsidiary is disclosed in Note 7.

4. Cash and Cash Equivalents

This account consists of:

	<i>Note</i>	2025	2024
Short-term placements	30, 31	P559,174,375	P544,052,265
Cash in banks	30, 31	317,124,939	328,312,521
Cash on hand		61,900	62,000
	28	P876,361,214	P872,426,786

Cash in banks and short-term placements were not subjected to any restrictions.

Cash in banks consist of peso and foreign currency-denominated savings and current accounts with interest rate ranging from 0.25% to 3% in 2025 and 2024.

Short-term placements pertain to time deposits denominated in Philippine peso with various financial institutions and with maturities ranging from overnight to ninety days and interest ranging from 2.84% to 6.80% and 5.00% to 5.75% per annum in 2025 and 2024, respectively.

Interest income from cash in bank and short-term placements recognized in profit or loss which is presented under "Investment income" amounted to P19.31 million and P43.82 million in 2025 and 2024, respectively (see Note 20).

5. Insurance Receivables - net

This account consists of:

	Note	2025	2024
Premiums receivable	30, 31	P72,571,549	P50,676,813
Reinsurance recoverable on paid losses	30, 31	21,618,166	22,536,270
Funds held by ceding companies	30, 31	12,372,039	12,372,039
Due from ceding companies	30, 31	8,224,783	8,940,656
		114,786,537	94,525,778
Less: Allowance for doubtful accounts		47,828,587	44,505,539
	28, 30	P66,957,950	P50,020,239

The Company utilizes reinsurance agreements to minimize its exposure to large losses in all aspects of its insurance business. Reinsurance permits recovery of a portion of losses from reinsurers, although it does not discharge the primary liability of the Company as direct insurer of the risk reinsured.

The rollforward analysis of the allowance for doubtful account is as follows:

	Note	Premiums Receivable	Reinsurance Recoverable on Paid Losses	Due from Ceding Company	Funds Held by Ceding Company	Total
Balance at January 1, 2024		P29,043,671	P848,508	P598,639	P669,955	P31,160,773
Provision	21	13,344,766	-	-	-	13,344,766
December 31, 2024		P42,388,437	P848,508	P598,639	P669,955	P44,505,539
Balance at January 1, 2025		P42,388,437	P848,508	P598,639	P669,955	P44,505,539
Provision	21	3,323,048	-	-	-	3,323,048
December 31, 2025		P45,711,485	P848,508	P598,639	P669,955	P47,828,587

6. Financial Assets

This account consists of:

	Note	2025	2024
Held-to-maturity (HTM) Investments	P334,314,374	P328,352,094	
Loans and receivables	4,443,897	4,157,453	
AFS financial assets	190,944	214,456	
Investment at FVPL	120,073	115,195	
Due from related party	200,000,000	-	
Advances to a subsidiary		-	200,000,000
	28, 30, 31	P539,069,288	P532,839,198

The assets included in each of the categories above are detailed below:

a) HTM Investments

The Company's HTM investments consist of investments in government securities amounting to P334.31 million and P328.35 million as at December 31, 2025 and 2024, respectively.

The carrying value of HTM Investments has been determined as follows:

	Note	2025	2024
Balance at the beginning of the year	P328,352,094	P322,917,537	
Additions	191,562,403	294,934,936	
Maturities	(191,700,000)	(295,800,000)	
Amortization	6,099,877	6,299,621	
Balance at the end of the year	28, 30, 31	P334,314,374	P328,352,094

The interest income earned from HTM investments amounted to P19.38 million and P18.52 million in 2025 and 2024, respectively (see Note 20).

b) Loans and Receivables

	Note	2025	2024
Accrued interest receivable	P3,346,996	P3,801,812	
Employee salary advances	1,096,901	355,641	
	28, 30, 31	P4,443,897	P4,157,453

In 2025 and 2024, no impairment losses have been recognized for loans and receivables.

c) AFS Financial Assets

	Note	2025	2024
Quoted securities - at fair value common shares	P65,589	P89,101	
Unquoted securities - at cost common shares	125,355	125,355	
	28, 30, 31	P190,944	P214,456

The fair value of AFS financial assets has been determined as follows:

	Note	2025	2024
Balance at the beginning of the year		P214,456	P16,273,113
Sale		-	(16,000,000)
Unrealized fair value loss		(23,512)	(58,657)
Balance at the end of the year	28, 30, 31	P190,944	P214,456

The rollforward analysis of the reserves on AFS financial assets is as follow:

	2025	2024
Balance at the beginning of the year	P36,383	P11,961,626
Transferred to profit or loss during the year, net of tax	-	(11,881,250)
Changes in fair value loss during the year, net of tax	(17,635)	(43,993)
Balance at the end of the year	P18,748	P36,383

d) *Investment at FVPL*

	Note	2025	2024
Balance at the beginning of the year		P115,195	P109,670
Additions		-	277,793,857
Redemption		-	(284,687,036)
Realized fair value gain		-	6,893,179
Unrealized fair value gain		4,878	5,525
Balance at the end of the year	28, 30, 31	P120,073	P115,195

e) *Advances to a subsidiary and Due from Related Party*

In 2024, the Company has outstanding advances to its subsidiary amounting to P200.00 million.

In 2022, the advances to associate and to shareholders of associate amounting to P27.40 million and P48.65 million, respectively. The full amount of P48.65 million advances to shareholders of associate and P23.40 million out of the advances to associates pertains to the payments made by the Company to acquire shares of OWN Bank to the previous shareholders and unsubscribed shares, respectively. These advances amounting to P76.05 million was transferred to Investment in subsidiary in 2023 upon completion of the transfer of stock certificates of OWN Bank to the Company.

While the remaining P4.00 million in 2022 under advances to associate were made by the Company for the use of the associate in its operation and was reclassified as advances to a subsidiary in 2023 as a result of the aforementioned stock transfer.

In 2024, the Company paid P200.00 million to OWN Bank for subscription of additional common shares. As at December 31, 2025, the OWN Bank is still on the process of increasing its authorized capital.

On February 4, 2025, the Company assigned all its rights, title and interest to its Parent Company in relation to the shares subscription to OWN Bank of P200.00 million thus the amount was transferred from Advances to subsidiary to Due from related party.

7. Investment in a Subsidiary

As at December 31, 2025 and 2024, this account is carried at cost amounting to P81.82 million.

The summarize financial information of the Own Bank as at and for the years ended December 31 is as follows:

	2025	2024
Total assets	P8,135,925,721	P7,519,227,092
Total liabilities	8,017,892,365	7,594,169,032
Net assets	118,033,356	(74,941,940)
Net income	17,219,149	142,689,583

OWN Bank is a subsidiary of the Company having 59.99% of ownership as of December 31, 2023. OWN Bank is a rural bank located in Cavite City, Philippines. The bank's products and services are traditional deposits, offers various types of loans and is engaged in all aspects of rural banking, financing and real estate. In January 26, 2022, OWN Bank was granted by the Technology Risk and Supervision Department (TRISD) of the BSP a license to offer Type-A Advanced Electronic Payment Facility System (EPFS). OWN Bank's Mobile Banking App was launched on June 15, 2022 with products and services such as banking on mobile platform, savings and time deposit account opening and interbank fund transfer. OWN Bank is registered and incorporated in Cavite City, Philippines.

On June 30, 2021, the Company entered into a Purchase Agreement with previous owners of OWN Bank to set up an escrow fund to purchase 366,000 shares amounting to P58.19 million. During the year, the Company was able to purchase 365,998 shares.

The 60,000 shares or P9.53 million of OWN Bank's common shares were acquired from previous owners representing 9.84% of all subscribed and paid shares. While the 305,998 shares amounting to P48.65 million or 50.16% represent the common shares from OWN Bank's previous owners and shall be issued to the Company upon approval by the SEC of the amendments to by-laws (see Note 6).

Further, the Company acquired additional 234,000 shares for P23.40 million and paid P0.23 million direct attributable cost from the Bank's unsubscribed shares to maintain the 60% ownership on December 23, 2022 subject to the approval of the amendments to by-laws (see Note 6).

As at December 31, 2023, these transactions has been fully settled and is accounted as investment in subsidiary following the SEC's approval of OWN Bank increase in authorized capital and the completion of the transfer of stock certificates to the Company on November 11, 2023.

8. Reinsurance Assets

This account consists of:

	<i>Note</i>	2025	2024
Deferred reinsurance premiums	13	P4,630,511	P7,413,381
Reinsurance recoverable on unpaid losses	13	19,864,851	37,969,776
		24,495,362	45,383,157
Less: Allowance for doubtful accounts		707,111	707,111
	28	P23,788,251	P44,676,046

No additional allowance for doubtful accounts of reinsurance asset was provided in December 31, 2025 and 2024.

9. Deferred Acquisition Costs and Deferred Reinsurance Commissions

The details of deferred acquisition costs and deferred reinsurance commissions follow:

	<i>Note</i>	2025	2024
Deferred Acquisition Costs			
Balance at the beginning of the year		P9,922,820	P12,708,059
Cost deferred during the year		29,431,738	22,964,078
Amortization during the year		(25,322,021)	(25,749,317)
Balance at the end of the year	28	P14,032,537	P9,922,820

	<i>Note</i>	2025	2024
Deferred Reinsurance Commissions			
Balance at the beginning of the year		P1,648,756	P2,162,306
Income deferred during the year		2,487,369	3,667,524
Amortization during the year		(3,074,574)	(4,181,074)
Balance at the end of the year	28	P1,061,551	P1,648,756

10. Property and Equipment - net

This account consists of property and equipment measured as follows:

	<i>Note</i>	2025	2024
At appraised value		P15,329,000	P15,854,000
At cost		925,501	512,164
Balance at end of year	28	P16,254,501	P16,366,164

The rollforward analysis of property and equipment accounted for under the cost model is as follows:

Furniture, Fixtures and Office Equipment - At Cost	Note	2025	2024
Cost			
Balance at the beginning of the year		P1,816,613	P1,479,501
Additions		782,221	337,112
Balance at end of year		2,598,834	1,816,613
Accumulated Depreciation			
Balance at the beginning of the year		1,304,449	1,068,848
Depreciation	21	368,884	235,601
Balance at end of year		1,673,333	1,304,449
Net Book Value as at December 31		P925,501	P512,164

The rollforward analysis of property and equipment accounted for under the revaluation model is as follows:

2025	Note	Land	Office Condominium	Total
At Appraised Value				
Balance at the beginning of the year		P5,952,000	P9,902,000	P15,854,000
Revaluation		-	5,427,000	5,427,000
Transfer to investment property	11	(5,952,000)	-	(5,952,000)
Balance at end of year		-	15,329,000	15,329,000
Accumulated Depreciation				
Balance at the beginning of the year		-	-	-
Depreciation		-	379,178	379,178
Reversal		-	(379,178)	(379,178)
Balance at end of year		-	-	-
Net Book Value as of December 31, 2025		P -	P15,329,000	P15,329,000

2024	Land	Office Condominium	Total
At Appraised Value			
Balance at the beginning of the year	P5,735,000	P9,575,000	P15,310,000
Revaluation	217,000	327,000	544,000
Balance at end of year	5,952,000	9,902,000	15,854,000
Accumulated Depreciation			
Balance at the beginning of the year	-	-	-
Depreciation	-	379,178	379,178
Reversal	-	(379,178)	(379,178)
Balance at end of year	-	-	-
Net Book Value as of December 31, 2024	P5,952,000	P9,902,000	P15,854,000

Accumulated depreciation on the appraisal increases on office condominium subsequently reversed through equity due to revaluation amounted to P0.38 million in 2025 and 2024.

Had the office condominiums been carried at cost less accumulated depreciation, the amounts would have been as follows:

	2025	2024
Cost	P3,570,155	P3,570,155
Less accumulated depreciation	2,751,979	2,372,801
Net carrying amount	P818,176	P1,197,354

Below is the rollforward of the revaluation reserve on property and equipment:

	2025	2024
Beginning	P6,396,834	P5,988,834
Revaluation	4,070,250	408,000
Revaluation Reserve on Property and Equipment, End (after tax)	P10,467,084	P6,396,834

In the beginning of the year, the Company reclassified its Land recognized as Property and Equipment to Investment property following a change in use, as evidenced by the Company's intention to hold it for capital appreciation. The fair value of the property at the date of reclassification amounted to P5.95 million (see Note 11). The existing Revaluation Reserve for the Land is retained and will be transferred to retained earnings upon disposal.

The fair values of the office condominium units, considered as Level 2, were determined using the market data approach. This means that the valuation performed by the appraiser is based on sales, listings, and other market data of comparable properties registered within the vicinity of subject property. The technique requires reducing reasonably comparative sales and listings to a common denominator in order to conform to the subject property. The comparison among the subject property and the comparable units was premised on the factors of location, size and shape of the lot, highest and best use, and the time element. The fair values of the properties and equipment are based on the valuations performed by an independent professionally qualified appraiser, Cuervo Appraisers, Inc.

The Company's latest appraisal report was made on February 13, 2026 for the office condominiums.

Description of the valuation techniques used and key inputs to valuation on properties and equipment follow:

	Valuation Techniques	Unobservable Inputs Used	Range (Weighted Average)	
			2025	2024
Office Condominium Carried at Fair Value				
Keppel Building, Cebu Business Park, Cebu City	Market data approach	Price per square meter	162,571 to 217,724 (187,300)	104,400 to 113,399 (110,000)

There were no transfers to or out of Level 3 hierarchy in respect of the above office condominium units as at December 31, 2025 and 2024. Significant increase (decrease) in price per square meter would result in a significantly higher (lower) fair value.

11. Investment property

This account consists of:

	Note	2025
At Appraised Value		
At January 1		P -
Transfer from property and equipment – net	10	5,952,000
Revaluation		10,308,000
Carrying amount	28	P16,260,000

Investment property consists of land held for long-term capital appreciation rather than for short-term sale in the ordinary course of business or use in the production or supply of goods or services.

Investment property is measured initially at cost, including transaction costs. Subsequent to initial recognition, it is measured at fair value. Gains or losses arising from changes in the fair value are recognized in profit or loss in the period in which they arise.

In the beginning of the year, the Company reclassified its Land recognized as Property and Equipment to Investment property following a change in use, as evidenced by the Company's intention to hold it for capital appreciation. The fair value of the property at the date of reclassification amounted to P5.95 million (see Note 10).

The fair value of the investment property is based on the valuation performed by an independent professionally qualified appraiser, Cuervo Appraisers, Inc. The Company's latest appraisal report was made on February 23, 2026 for the year ended December 31, 2025.

Description of the valuation techniques used and key inputs to valuation on properties and equipment follow:

	Valuation Techniques	Unobservable Inputs Used	Range (Weighted Average)	
			2025	2024
Land carried at fair value representing deemed cost Brgy. Merville Paranaque City	Market data approach	Price per square meter	16,000 to 21,875 (20,000)	12,018 to 15,038 (13,400)

12. Other Assets

This account consists of:

	Note	2025	2024
Creditable withholding taxes (CWT)		P16,580,422	16,978,766
Input VAT - net		4,622,945	4,195,142
Others		1,615,180	1,602,892
Balance at the end of the year	28	P22,818,547	22,776,800

CWTs pertain to taxes withheld at source by its customers and are creditable against the income tax liability of the Company.

Input VAT - net pertains to 12% tax paid by the Company on commissions and local purchase of goods or services. It is used to offset against output VAT due to the BIR.

Others include other deposit fund and prepayment.

13. Insurance Contract Liabilities

Insurance contract liabilities analyzed as follows:

	Note	2025		Net
		Insurance Contract Liabilities	Reinsurers' Share of Liabilities (Note 8)	
Provision for claims reported and loss adjustment expenses	30, 31	P31,473,062	P17,235,877	P14,237,185
Provision for IBNR		5,535,051	2,628,974	2,906,077
Total claims reported and IBNR	30	37,008,113	19,864,851	17,143,262
Provision for unearned premiums		53,707,320	4,630,511	49,076,809
Total Insurance Contract Liabilities	28	P90,715,433	P24,495,362	P66,220,071

	Note	2024		Net
		Insurance Contract Liabilities	Reinsurers' Share of Liabilities (Note 8)	
Provision for claims reported and loss adjustment expenses	30, 31	P52,218,550	P36,269,447	P15,949,103
Provision for IBNR		3,626,573	1,700,329	1,926,244
Total claims reported and IBNR	30	55,845,123	37,969,776	17,875,347
Provision for unearned premiums		41,049,545	7,413,381	33,636,164
Total Insurance Contract Liabilities	28	P96,894,668	P45,383,157	P51,511,511

Provisions for claims reported by policyholders and IBNR analyzed as follows:

2025				
		Insurance Contract Liabilities	Reinsurers' Share of Liabilities (Note 8)	Net
	Note			
Balance at the beginning of the year		P55,845,123	P37,969,776	P17,875,347
Claims incurred during the year		2,329,317	(17,128,128)	19,457,445
Claims paid during the year, net of salvage and subrogation	19	(23,074,805)	(1,905,442)	(21,169,363)
Increase in IBNR		1,908,478	928,645	979,833
Balance at the end of the year	30	P37,008,113	P19,864,851	P17,143,262

2024				
		Insurance Contract Liabilities	Reinsurers' Share of Liabilities (Note 8)	Net
	Note			
Balance at the beginning of the year		P68,315,319	P53,691,582	P14,623,737
Claims incurred during the year		19,437,982	(678,030)	20,116,012
Claims paid during the year, net of salvage and subrogation	19	(31,620,237)	(14,827,409)	(16,792,828)
Increase in IBNR		(287,941)	(216,367)	(71,574)
Balance at the end of the year	30	P55,845,123	P37,969,776	P17,875,347

Provision for unearned premiums may analyzed as follows:

2025				
		Insurance Contract Liabilities	Reinsurers' Share of Liabilities (Note 8)	Net
	Note			
Balance at the beginning of the year		P41,049,545	P7,413,381	P33,636,164
New policies written during the year	17	111,543,638	17,759,333	93,784,305
Premiums earned during the year	17	(98,885,863)	(20,542,203)	(78,343,660)
Balance at the end of the year		P53,707,320	P4,630,511	P49,076,809

		2024		
		Insurance Contract Liabilities	Reinsurers' Share of Liabilities (Note 8)	Net
	Note			
Balance at the beginning of the year		P48,996,956	P10,079,230	P38,917,726
New policies written during the year	17	89,882,818	21,781,596	68,101,222
Premiums earned during the year	17	(97,830,229)	(24,447,445)	(73,382,784)
Balance at the end of the year		P41,049,545	P7,413,381	P33,636,164

14. Insurance Payable

The rollforward analysis of insurance payable is as follows:

	Note	2025	2024
Balance at the beginning of the year		P7,769,518	P14,799,554
Arising during the year		17,759,332	21,781,596
Settlements		(22,205,588)	(28,811,632)
Balance at the end of the year	28, 30, 31	P3,323,262	P7,769,518

15. Other Payables

This account consists of:

	Note	2025	2024
Taxes payable		P2,859,148	P2,155,795
Others	30, 31	7,332,314	6,113,967
	28	P10,191,462	P8,269,762

Taxes payable consists of documentary stamps, business tax, fire service tax, premium tax, and withholding tax. These are subsequently remitted within one month after the reporting date.

Others pertain to the obligation of the Company for various expenses shouldered by the officers. These obligations do not bear interest.

16. Pension Liability

The Company has an unfunded, noncontributory, defined benefit pension plan covering substantially all of its regular employees. The benefits are based on years of service and compensation on the last year of employment.

Below is the rollforward analysis of the Company's DBO.

	<i>Note</i>	2025	2024
Balance at the beginning of the year		P1,635,039	P1,044,083
Included in Profit or Loss			
Interest cost		100,712	62,352
Current service cost		663,468	644,429
	21	764,180	706,781
Included in Other Comprehensive Income (Loss)			
Changes in demographic assumptions		-	(707,612)
Changes in financial assumptions		14,800	(62,352)
Experience adjustments		(964,795)	654,139
		(949,995)	(115,825)
Balance at the end of the year	28	P1,449,224	P1,635,039

As at December 31, 2025 and 2024, the Company's pension liability is equal to the present value of defined benefit obligation as it has no plan assets.

The rollforward of remeasurement gains on defined benefit plan is as follows:

	2025	2024
Balance at the beginning of the year	P2,636,507	P2,520,682
Actuarial gain on DBO	949,995	115,825
Balance at end of year	P3,586,502	P2,636,507

The principal assumptions used in determining pensions for the Company's plan are shown below:

	2025	2024
Discount rate	6.12%	6.16%
Rate of salary increase	5.50%	5.50%
Mortality rate	PICM 2009 - 2014 Age Last Birthday, Sex Distinct	PICM 2009 - 2014 Age Last Birthday, Sex Distinct
Disability rate	1952 Disability Study of the Society of Actuaries	1952 Disability Study of the Society of Actuaries

Sensitivity Analysis

The sensitivity analysis below has been determined based on reasonably possible changes of each significant assumption on the defined benefit obligation as of the end of the reporting period, assuming all other assumptions were held constant:

Position	2025		2024	
	Change in variables	Increase (Decrease)	Change in variables	Increase (Decrease)
Discount rate	+50bps	(P958,889)	+50bps	(P1,743,933)
	-50bps	1,160,164	-50bps	1,727,582
Salary increase rate	+50bps	1,160,293	+50bps	1,733,141
	-50bps	(957,942)	-50bps	(1,716,791)

There were no changes in the methodology and assumptions used in determining the above sensitivity analysis.

Maturity Profile

Shown below is the maturity analysis of the undiscounted benefits payments as at end of the reporting date for 2025 and 2024:

	2025	2024
Within one year to five years	P156,079	P81,616
More than five years to nine years	228,107	179,349
More than 10 years to 14 years	-	450,559
More than 15 years	2,664,530	3,102,452

The weighted average duration of the defined benefit obligation at the end of the reporting period is 11 years.

The Company does not expect to contribute to its retirement plan in 2026.

17. Net Earned Insurance Premiums

Gross earned premiums on insurance contracts and reinsurers' share of gross earned premiums on insurance contracts consist of the following:

	Note	2025	2024
Insurance contract premiums revenue:			
Direct insurance		P70,700,941	P47,331,395
Assumed reinsurance		40,842,697	42,551,423
Total insurance contract premiums revenue	13	111,543,638	89,882,818
Gross change in unearned premium provision		(12,657,775)	7,947,411
Total gross premiums on insurance contracts	13	98,885,863	97,830,229
Reinsurers' share of insurance contract premiums revenue:			
Direct insurance		17,662,069	19,759,303
Assumed reinsurance		97,264	2,022,293
Total reinsurers' share of insurance contract premiums revenue	13	17,759,333	21,781,596
Reinsurers' share of gross change in unearned premium provision		2,782,870	2,665,849
Total reinsurers' share of gross earned premiums on insurance	13	20,542,203	24,447,445
Net earned insurance premiums		P78,343,660	P73,382,784

18. Other Income

This account consists of:

	2025	2024
Foreign exchange gain	P3,444,424	P157,258
Miscellaneous	932,454	367,658
	P4,376,878	P524,916

Miscellaneous income in 2025 comprises subscription fees from the Company's subsidiary and salvaged materials. In 2024, miscellaneous income consisted solely of the subsidiary's subscription fees.

19. Net Insurance Benefits and Claims

Details of the gross change in insurance contract liabilities are as follows:

	Note	2025	2024
Insurance contract benefits and claims paid:			
Direct insurance		P19,983,906	P25,166,045
Assumed reinsurance		3,090,899	6,454,192
Total insurance contract benefits and claims paid	13	23,074,805	31,620,237
Reinsurer's share of gross insurance contract benefits and claims paid	13	(1,905,442)	(14,827,409)
Gross change in insurance contract liabilities		(18,837,010)	(12,470,196)
Reinsurers' shares of gross change in insurance contract liabilities		18,104,925	15,721,806
Net insurance benefits and claims		P20,437,278	P20,044,438

20. Investment Income

This account consists of:

	Note	2025	2024
Interest income on:			
HTM investments	6	P19,383,615	P18,517,239
Short-term placements	4	19,005,067	42,617,953
Loans	26	4,963,331	162,444
Cash in banks	4	301,512	1,199,621
Change in fair value of Investment Property	11	10,308,000	-
Change in fair value of FVPL investment		4,878	6,898,704
Net gain on sale of AFS investments		-	891,667
		P53,966,403	P70,287,628

Interest income on loans pertains to the interest earned from the Loan Agreement with Streetcorner Ecommerce Limited. The loans are payable within 180 days from the date of release of the amount advanced, with the principal amounting to P289.70 million, and at an interest of 8% per annum. The principal and interest are fully collected as at December 31, 2025.

21. Operating Expenses

This account consists of:

	<i>Note</i>	2025	2024
Salaries and wages		P9,881,790	P10,535,769
Taxes and licenses		5,632,827	8,422,790
Professional Fees		4,553,495	3,784,103
Depreciation	10, 25	3,601,042	3,467,759
Impairment loss - net	5	3,323,048	13,344,766
Referral incentives		2,992,619	3,184,940
Agency fees		2,104,962	1,953,748
Bureau and association fees		1,960,602	982,859
Employee benefits		1,615,571	1,678,256
Light and water		1,222,793	1,213,480
Social security and other contributions		1,192,413	943,147
Stationary and supplies		1,135,920	822,096
Penalty Fees		1,093,506	2,637,995
Communication		856,697	886,915
Pension expense	16	764,180	706,781
Transportation and travel		564,576	644,853
Medical expense		563,857	413,982
Entertainment, amusement, and recreation		394,110	530,715
Wages and allowances - temporary		339,790	349,090
Interest expense	25	247,989	444,037
Rent		278,897	260,083
Repairs and maintenance		12,929	56,506
Collection fees		8,132	24,385
Miscellaneous		3,740,860	2,597,271
		P48,082,605	P59,886,326

Salaries and wages consist of the compensation and benefits paid to the Company's employees for the services rendered.

Taxes and licenses consist of business taxes, BIR annual registration and other related expenses incurred by the Company.

Professional fees consist of the payments made to various consultants and other expenses associated with legal and contractual services provided to the Company.

The depreciation consists of:

	<i>Note</i>	2025	2024
Depreciation expense - lease	25	P3,232,158	P3,232,158
Depreciation expense - furniture, fixtures and office equipment	10	368,884	235,601
		P3,601,042	P3,467,759

The impairment loss consists of:

	Note	2025	2024
Premiums receivable	5	P3,323,048	P13,344,766
		P3,323,048	P13,344,766

Miscellaneous consists mainly of other administrative expenses incurred by the Company.

22. Other Underwriting Expenses

Other underwriting expenses amounted to P14.60 million and P12.56 million in 2025 and 2024, respectively. This account includes miscellaneous and administration charges from the assumed businesses.

23. Income Tax

The provision for income tax consists of:

	2025	2024
Final taxes	P7,737,723	P12,466,963
Deficiency tax	830,478	-
Minimum Corporate Income Tax (RCIT)	814,112	394,939
Current	9,382,313	12,861,902
Deferred	79,838	68,052
	P9,462,151	P12,929,954

The reconciliation of the income tax expense computed at statutory tax rate to the income tax shown in the profit or loss is as follows:

	2025	2024
Income before income tax	P31,320,832	P30,137,468
At statutory tax rate (25%)	P7,830,208	P7,534,367
Deficiency tax	830,478	-
Change in unrecognized DTA excluding unrecognized net operating loss carry over (NOLCO)	(741,081)	3,907,826
Final tax	7,737,723	12,466,963
Change in unrecognized NOLCO	1,013,607	4,730,210
Income subjected to final tax	(9,673,768)	(17,531,296)
Nondeductible expense	2,464,984	1,821,884
	P9,462,151	P12,929,954

Deferred tax assets have not been recognized because it was not probable that future taxable profit will be available against which the Company can utilize the benefits from. The unrecognized deferred tax assets as at December 31, 2025 and 2024 are as follows:

	2025		2024	
	Tax Base	Deferred Tax Assets	Tax Base	Deferred Tax Assets
NOLCO	P38,473,393	P9,618,348	P73,266,445	P18,316,611
Pension liability - gross of remeasurement gain on defined benefit plan	5,579,820	1,394,955	4,815,640	1,203,910
Allowance for doubtful accounts	48,535,698	12,133,925	45,212,650	11,303,163
Change in FV of Investment Property	(10,308,000)	(2,577,000)	-	-
MCIT	1,516,294	1,516,294	1,365,674	1,365,674
	P83,797,205	P22,086,522	P124,660,409	P32,189,358

Below is the movement of the recognized deferred tax assets and deferred tax liability recognized as at December 31, 2025 and 2024.

	2025			
	Beginning Balance	Amount Charged to Profit or Loss	Amount Recognized in Other Comprehensive Income	Ending Balance
Right-of-use	P2,693,466	P808,040	P -	P3,501,506
Lease liability	(2,532,915)	(887,187)	-	(3,420,102)
Foreign exchange gain	(174,737)	(691)	-	(175,428)
Deferred acquisition costs net of deferred reinsurance commission	(1,885,883)	-	-	(1,885,883)
Revaluation reserve on revalued Property, Plant and Equipment (PPE) - net	(2,132,278)	-	(1,356,750)	(3,489,028)
Revaluation reserve for quoted unlisted AFS	(12,127)	-	5,878	(6,249)
Deferred tax liabilities - net	(P4,044,474)	(P79,838)	(P1,350,872)	(P5,475,184)

	2024			
	Beginning Balance	Amount Charged to Profit or Loss	Amount Recognized in Other Comprehensive Income	Ending Balance
Right-of-use	P1,885,426	P808,040	P -	P2,693,466
Lease liability	(1,694,739)	(838,176)	-	(2,532,915)
Foreign exchange gain	(136,821)	(37,916)	-	(174,737)
Deferred acquisition costs net of deferred reinsurance commission	(1,885,883)	-	-	(1,885,883)
Revaluation reserve on revalued Property, Plant and Equipment (PPE) - net	(1,996,278)	-	(136,000)	(2,132,278)
Revaluation reserve for quoted unlisted AFS	(3,987,208)	-	3,975,081	(12,127)
Deferred tax liabilities - net	(P7,815,503)	(P68,052)	P3,839,081	(P4,044,474)

The Bureau of Internal Revenue (BIR) issued Revenue Regulations (RR) No. 25-2020 to implement Section 4 (bbbb) of R.A. No. 11494, Bayanihan to Recover as One Act, which provides that the NOLCO incurred for taxable years 2020 and 2021 can be carried over as a deduction from gross income for the next five (5) consecutive taxable years immediately following the year of such loss. The said RR also defined taxable years 2020 and 2021 to include those corporations with fiscal years ending on or before June 30, 2021 and June 30, 2022, respectively.

The details of the Company's NOLCO covered by RR No. 25-2020 is as follows:

Year Incurred	NOLCO	Expired	Balance	Expiry Year
2021	P3,744,735	P -	P3,744,735	2026
2020	38,847,478	(38,847,478)	-	2025
	P42,592,213	(P38,847,478)	P3,744,735	

The details of the Company's NOLCO not covered by RR No. 25-2020 are as follows:

Year Incurred	NOLCO	Utilized	Expired	Balance	Expiry Year
2025	P4,054,426	P -	P -	P4,054,426	2028
2024	18,920,838	-	-	18,920,838	2027
2023	11,753,394	-	-	11,753,394	2026
	P34,728,658	P -	P -	P34,728,658	

The details of the Company's excess MCIT over Regular Corporate Income Tax (RCIT) available for offsetting against future current tax liabilities are as follows:

Year Incurred	MCIT	Expired	Balance	Expiry Year
2025	P814,112	P -	P814,112	2028
2024	394,939	-	394,939	2027
2023	307,243	-	307,243	2026
2022	663,492	(663,492)	-	2025
	P2,179,786	(P663,492)	P1,516,294	

24. Equity

The details of this account are as follows:

	2025	2024
Authorized		
Par value per share	P1	P1
Number of shares	1,510,482,753	1,510,482,753
Issued and Outstanding		
Number of shares	1,510,482,753	1,510,482,753
Capital stock	P1,510,482,753	P1,510,482,753
Contributed surplus	20,603,655	20,603,655
	P1,531,086,408	P1,531,086,408

Reconciliation of the issued and outstanding number of shares at the beginning and end of each year is shown below:

	2025	2024
Balance at the beginning of the year	P1,510,482,753	P1,110,482,753
Issuance during the year	-	400,000,000
	P1,510,482,753	P1,510,482,753

As at December 31, 2025 and 2024 the Company has a deficit of P20.29 million and P42.15 million, respectively.

Deposit for Future Subscription

On December 23, 2022, the Company received P400.00 million as deposit for future subscription from SEL to comply with the minimum net worth requirements capital from SEL. The increase was filed with the IC on January 24, 2023 which was endorsed to SEC on April 19, 2023. The required documents to be filed to SEC were completed on January 31, 2024. This was presented as liability rather than equity in the Company's statement of financial position as at December 31, 2023 since some of the above considerations are not yet complied with as at the end of 2023 (See Notes 26 and 28).

On February 15, 2024, the increase in authorized capital was approved by SEC. On April 4, 2024, the Company issued SEL 400 million common shares amounting P400.00 million.

As at December 31, 2025 and 2024, the Company has an authorized capital stock of P1.51 billion.

25. Leases

Lease under PFRS 16

In September 2021, the Company entered into a lease contract with Mr. Jose Periquet, Jr. for their office space in The Athenaeum Building located at L.P. Leviste Street, Makati City. The lease term, which commenced on September 9, 2021, is for a period of five years with a further option to renew subject to mutual agreement. The contract is also subject to a 5.00% escalation effective on the third year of the lease term.

The following assets do not meet the definition of investment property.

Right-of-Use Asset

	Note	2025	2024
Cost			
Balance at the beginning and end of the year		P16,160,790	P16,160,790
Accumulated Depreciation			
Balance at the beginning of the year		10,773,860	7,541,702
Depreciation	21	3,232,158	3,232,158
Balance at end of year		14,006,018	10,773,860
Net Book Value as at December 31		P2,154,772	P5,386,930

Lease Liabilities

	Note	2025	2024
Balance at January 1		P6,029,132	P9,381,834
Interest	21	247,989	444,037
Payments	26	(3,796,739)	(3,796,739)
		P2,480,382	P6,029,132
		2025	2024
Maturity Analysis - Contractual Undiscounted Cash Flows			
Less than one (1) year		P2,480,382	P3,796,739
One to five (5) years		-	2,531,159
Total Undiscounted Lease Liabilities at December 31		2,480,382	6,327,898
Lease Liabilities included in the Statement of Financial Position		2,480,382	6,029,132
Current		2,480,382	3,548,750
Non-current		-	2,480,382

Amounts Recognized in Profit and Loss

	Note	2025	2024
Leased under PFRS 16			
Depreciation of right-of-use assets	21	P3,232,158	P3,232,158
Interest expense related to Lease liabilities	21	247,989	444,037

Amount Recognized in the Statement of Cash Flow

	2025	2024
Total cash outflow for leases	P3,548,750	P3,352,702

Renewal Option

The renewal option of this lease is exercisable by the Company by notice to the lessor not later than 180 days prior to the expiration of the initial lease term. The terms and conditions of the renewal shall be subject to mutual agreement of the parties. The lease does not include contingent rentals and restrictions.

26. Related Party Transactions

Related party relationship exists when one party has the ability to control, directly or indirectly, through one or more intermediaries, the other party or exercise significant influence over the other party in making the financial and operating decisions. Such relationship also exists between and/or among entities which are under common control with the reporting enterprise, or between and/or among the reporting enterprises and their key management personnel or members.

The Company has the following significant related party balances and transactions as at December 31, 2025 and 2024:

Category/Transaction	Note	Year	Amount of the Transaction	Outstanding Balances		Terms
				Due from a Related Party	Due to Related Party	
Key management remuneration	a	2025	P2,371,359	P -	P -	-
		2024	2,371,359	-	-	-
Advances to key officers		2025	715,944	-	-	Unsecured, not impaired; noninterest-bearing; collectible on demand
		2024	131,544	-	-	Non-interest bearing; not impaired collectible on demand
Due from Related Party	6	2025	200,000,000	200,000,000	-	
		2024	-	-	-	
Advances to a subsidiary	6	2025	(200,000,000)	-	-	Non-interest bearing; not impaired collectible on demand
		2024	200,000,000	200,000,000	-	
Leases expenditure	25	2025	3,796,739	-	-	
		2024	3,796,739	-	-	
Interest income on loans	20, b	2025	4,963,331	-	-	
		2024	162,444	-	-	
Miscellaneous income	c	2025	3,415,794	-	-	
		2024	191,071	-	-	
Total		2025	P15,263,167	P200,000,000	P -	
Total		2024	P206,653,157	P200,000,000	P -	

- Key management personnel of the Company include all personnel having position of vice president and up. The transaction with key management personnel includes salaries and other employee benefits.
- Interest income on loans includes income of the Company from the Loan Agreement with Streetcorner Ecommerce Limited.
- Miscellaneous income includes pre-termination fees charged by the Company to the Parent Company. These fees are compensation for the foregone interest on the time deposit which was pre-terminated to fund the Advances Agreement between the Company and the Parent Company.

The related party transactions are normally settled in cash except for the Advances to a subsidiary.

27. Contingencies

The Company is contingently liable for various claims arising in the ordinary conduct of business which are either pending decision by the courts or are being contested, the outcomes of which are not presently determinable. In the opinion of management, the eventual liability under these claims, if any, will not have a material or adverse impact on the Company's financial position and results of operations.

Disclosure of additional details beyond the present disclosures usually required by PAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, is not disclosed as it may prejudice the Company's position and negotiation with counterparties.

Thus, as allowed by PAS 37, only general disclosures were provided.

28. Maturity Profile of Assets and Liabilities

The following table presents all assets and liabilities as at December 31, 2025 and 2024 analyzed according to when they are expected to be recovered or settled (based on contractual maturity).

	Note	2025			2024		
		Within One Year	Beyond One Year	Total	Within One Year	Beyond One Year	Total
Assets							
Cash and cash equivalents	4	P876,361,214	P -	P876,361,214	P872,426,786	P -	P872,426,786
Insurance receivables - net	5,30	80,255,863	(13,297,913)	66,957,950	57,783,813	(7,763,574)	50,020,239
Financial assets:							
Available-for-sale financial assets	6, 30, 31	-	190,944	190,944	-	214,456	214,456
Held-to-maturity investments	6, 30, 31	330,792,474	3,521,900	334,314,374	188,418,052	139,934,042	328,352,094
Loans and receivables	6, 30, 31	4,443,897	-	4,443,897	4,157,453	-	4,157,453
Investment at FVPL	6, 30, 31	120,073	-	120,073	115,195	-	115,195
Due from Related Party	6, 30, 31	200,000,000	-	200,000,000	-	-	-
Advances to a subsidiary	6, 30, 31	-	-	-	200,000,000	-	200,000,000
Investment in a subsidiary	7,30,31	-	81,821,881	81,821,881	-	81,821,881	81,821,881
Reinsurance assets	8	23,788,251	-	23,788,251	44,676,046	-	44,676,046
Deferred acquisition costs	9	14,032,537	-	14,032,537	9,922,820	-	9,922,820
Property and equipment - net	10	-	16,254,501	16,254,501	-	16,366,164	16,366,164
Investment property	11	-	16,260,000	16,260,000	-	-	-
Right-of-use (net)	25	-	2,154,772	2,154,772	-	5,386,930	5,386,930
Other assets	12	22,818,547	-	22,818,547	22,776,800	-	22,776,800
		P1,552,612,856	P106,906,085	P1,659,518,941	P1,400,276,965	P235,959,899	P1,636,236,864
Liabilities							
Insurance contract liabilities	13	P90,715,433	P -	P90,715,433	P96,894,668	P -	P96,894,668
Insurance payables	14, 30, 31	3,323,262	-	3,323,262	7,769,518	-	7,769,518
Commissions payable	30, 31	19,958,072	-	19,958,072	11,942,435	-	11,942,435
Deferred reinsurance commissions	9	1,061,551	-	1,061,551	1,648,756	-	1,648,756
Pension liability	16	-	1,449,224	1,449,224	-	1,635,039	1,635,039
Lease liability	25	2,480,382	-	2,480,382	3,548,750	2,480,382	6,029,132
Deferred tax liability - net	23	-	5,475,184	5,475,184	-	4,044,474	4,044,474
Other payables	15	10,191,462	-	10,191,462	8,269,762	-	8,269,762
		P127,730,162	P6,924,408	P134,654,570	P130,073,889	P8,159,895	P138,233,784

29. Material Accounting Policies

The accounting policies applicable and adopted in the preparation of the separate financial statements are consistent with those of the previous financial year, except for the adoption of amendments to standards as discussed below.

Adoption of Amendments to Standards

As at December 31, 2025, there are no new and amended PFRS Accounting Standards that are relevant to the Company.

New Standards Amendments to Standards Not Yet Effective

A number of new standards and amendments to standards are effective for annual periods beginning after January 1, 2025. However, the Company has not early adopted the following new and amendments to standards in preparing these separate financial statements. Unless otherwise stated, none of these are expected to have a significant impact on the Company's separate financial statements.

The Company will adopt the following amended standards on the respective effective dates:

Effective January 1, 2026

- *Annual Improvements to PFRS Accounting Standards – Volume 11.* This cycle of improvements contains amendments to five standards, four of which is applicable to the Company:
 - *Gain or Loss on Derecognition (Amendments to PFRS 7).* The amendments replaced the reference to 'inputs that were not based on observable market data' in the obsolete paragraph 27A of PFRS 7, with reference to 'unobservable inputs' in paragraphs 72-73 of PFRS 13, *Fair Value Measurement*.
 - *Introduction, Disclosure of Difference Between Fair Value and Transaction Price, and Credit Risk Disclosures (Amendments to Guidance on implementing PFRS 7).* The amendments:
 - clarified that the Guidance on implementing PFRS 7 does not necessarily illustrate all the requirements in the referenced paragraphs of PFRS 7;
 - made the wordings on the disclosure of deferred difference between fair value and transaction price in paragraph IG14 of PFRS 7 consistent with the requirements in paragraph 28 of PFRS 7 and with the concepts in PFRS 9 and PFRS 13; and
 - simplified the wordings on credit risk disclosures in paragraph IG20B that the illustration does not include financial assets that are purchased or originated credit impaired.
 - *Derecognition of Lease Liabilities and Transaction Price (Amendments to PFRS 9 Financial Instruments).* The amendments:
 - added a cross-reference to clarify that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee applies the requirement that the difference between the carrying amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, shall be recognized in profit or loss; and

- replaced the term 'their transaction price (as defined in IFRS 15)' with 'the amount determined by applying IFRS 15' because a receivable might be initially measured at an amount that differs from the transaction price recognized as revenue, for example, when you recognize full amount for consideration that's unconditionally receivable but at the same time recognize expected refund liability with respect to retrospective rebates. Consequently, the definition of the transaction price has been deleted.
- *Cost Method (Amendments to PAS 7 Statement of Cash Flows)*. The amendments replaced the term 'cost method' with 'at cost' given the definition of 'cost method' has previously been removed from PFRS Accounting Standards.

Effective January 1, 2027

- PFRS 17, *Insurance Contracts* replaces the interim standard, PFRS 4, *Insurance Contracts*. Reflecting the view that an insurance contract combines features of both a financial instrument and a service contract, and considering the fact that many insurance contracts generate cash flows with substantial variability over a long period, PFRS 17 introduces a new approach that:
 - a) combines current measurement of the future cash flows with the recognition of profit over the period services are provided under the contract;
 - b) presents insurance service results (including presentation of insurance revenue) separately from insurance finance income or expenses; and
 - c) requires an entity to make an accounting policy choice portfolio-by-portfolio of whether to recognize all insurance finance income or expenses for the reporting period in profit or loss or to recognize some of that income or expenses in other comprehensive income.

Under PFRS 17, groups of insurance contracts are measured based on fulfilment cash flows, which represent the risk-adjusted present value of the entity's rights and obligations to the policy holders, and a contractual service margin, which represents the unearned profit the entity will recognize as it provides services over the coverage period. Subsequent to initial recognition, the liability of a group of insurance contracts represents the liability for remaining coverage and the liability for incurred claims, with the fulfilment cash flows remeasured at each reporting date to reflect current estimates.

Simplifications or modifications to the general measurement model apply to groups of insurance contracts measured using the 'premium allocation approach', investment contracts with discretionary participation features, and reinsurance contracts held.

PFRS 17 brings greater comparability and transparency about the profitability of new and in-force business and gives users of separate financial statements more insight into an insurer's financial health. Separate presentation of underwriting and financial results will give added transparency about the sources of profits and quality of earnings.

PFRS 17 is effective for annual periods beginning on or after January 1, 2027. Full retrospective application is required, unless it is impracticable, in which case the entity chooses to apply the modified retrospective approach or the fair value approach. However, if the entity cannot obtain reasonable and supportable information necessary to apply the modified retrospective approach, then it applies the fair value approach. There is also a transition option allowing presentation of comparative information about financial assets using a classification overlay approach on a basis that is more consistent with how PFRS 9 *Financial Instruments* will be applied in future reporting periods. Early application is permitted for entities that apply PFRS 9 on or before the date of initial application of PFRS 17.

The Company is currently performing detailed assessment on the impact of the adoption of the new standard in its separate financial statements.

As of date, the actual impact of applying the PFRS 17 on the financial statements, including the impact on the Company's net worth, in the period of initial application is not known and cannot be reasonably estimated because it will be dependent on future economic conditions as well as accounting elections and judgements that the Company will make in the future.

- PFRS 9 (2014) *Financial Instruments* replaces PAS 39, *Financial Instruments* and supersedes the previously published versions of PFRS 9 that introduced new classifications and measurement requirements (in 2009 and 2010) and a new hedge accounting model (in 2013). PFRS 9 includes revised guidance on the classification and measurement of financial assets, including a new expected credit loss model for calculating impairment, guidance on own credit risk on financial liabilities measured at fair value and supplements the new general hedge accounting requirements published in 2013. PFRS 9 incorporates new hedge accounting requirements that represent a major overhaul of hedge accounting and introduces significant improvements by aligning the accounting more closely with risk management.

The Company availed the temporary exemption in the implementation of PFRS 9 as allowed by PFRS 4 below as the Company has not previously applied any version of PFRS 9 and its activities are predominantly connected with insurance.

The Company is currently performing detailed assessment on the impact of the adoption of the new standard in its separate financial statements.

- PFRS 18, *Presentation and Disclosure in Financial Statements* will replace PAS 1 Presentation of Financial Statements and aims to provide greater consistency in presentation of the income and cash flow statements, and more disaggregated information.
 - A more structured income statement. PFRS 18 promotes a more structured income statement. It introduces a newly defined 'operating profit or loss' and 'profit or loss before financing and income tax' subtotals, and a requirement for all income and expenses to be classified into three new distinct categories - operating, investing, and financing - based on a company's main business activities. PFRS 18 also requires companies to analyze their operating expenses directly on the face of the income statement - either by nature, by function or on a mixed basis. Companies need to choose the presentation method that provides the 'most useful structured summary' of those expenses. New disclosures apply if any operating expenses are presented by function.

- Management-defined performance measures. PFRS 18 provides a definition for management-defined performance measures (MPMs) and introduces specific disclosure requirements. MPMs are subtotals of income and expenses that are used in public communications outside the financial statements, communicate management's view of an aspect of the financial performance of the entity as a whole and are not a required subtotal or a common income and expense subtotal listed in PFRS 18. For each MPM presented, companies will need to explain in a single note to the financial statements why the measure provides useful information and how it is calculated, and to reconcile it to an amount determined under PFRS Accounting Standards.
- Greater disaggregation of information. PFRS 18 provides enhanced guidance on how companies group information in the financial statements, including newly defined roles of the primary financial statements and the notes, principles of aggregation and disaggregation based on shared and non-shared characteristics, and specific guidance for labelling and describing items in a way that faithfully represents an item's characteristics.

PFRS 18 also now require goodwill to be presented as a line item in the statement of financial position. Consequential amendments to PAS 7 Statement of Cash Flows requires the use of the operating profit or loss subtotal as the starting point when presenting operating cash flows under the indirect method and eliminate the options for classifying interest and dividend cash flows.

PFRS 18 also amends PAS 33, *Earnings per Share* to permit companies to disclose additional amounts per share using as numerator a required income and expenses total or subtotal, a common subtotal listed in PFRS 18 or an MPM disclosed by the entity.

PFRS 18 applies for annual reporting periods beginning on or after January 1, 2027, with earlier application permitted. It applies retrospectively in accordance with PAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. Specific reconciliations are required to be disclosed. Eligible entities including venture capital organizations, mutual funds and some insurers will be allowed to change their election for measuring investments in associates and joint ventures from equity method to fair value through profit or loss.

Management is still assessing the impact of this new standard on the Company's financial statements.

Product Classification

Insurance Contracts

Insurance contracts are defined as those contracts under which the Company (the insurer) accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder. As a general guideline, the Company defines significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, security price, commodity price, foreign exchange rate, index of price or rates, a credit rating or credit index, or other variable.

Investment Contracts

Investment contracts mainly transfer financial risk but can also transfer insignificant insurance risk.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or have expired. Investment contracts can, however, be reclassified as insurance contracts after inception if the insurance risk becomes significant.

Gross Premium on Insurance Contracts

Gross premium on insurance contracts comprise the total premiums for the whole coverage period provided in the insurance contracts entered during the accounting period and are recognized on the inception date of the policy. Premiums include any adjustments arising in the accounting period for premiums receivable in respect of business written in prior periods.

Commission Expense and Deferred Acquisition Costs

Commissions are recognized as expense over the period of the contracts using the 24th method. The portion of the commissions that relates to the unexpired periods of the policies at the end of the reporting period is accounted for as "Deferred acquisition costs" in the statement of financial position. The net changes in deferred acquisition costs at the end of each reporting period is recognized as "Commission expense" account in profit or loss.

Commissions and other acquisition costs incurred during the financial period that vary with and are related to securing new insurance contracts and or renewing existing insurance contracts, but which relates to subsequent financial periods, are deferred to the extent that they are recoverable out of future revenue margins. All other acquisition costs are recognized as expense when incurred.

An impairment review is performed at the end of each reporting periods or more frequently when an indication of impairment arises. The carrying value is written down to the recoverable amount. The impairment loss is charged to profit or loss.

Deferred acquisition costs are derecognized when the related contracts are settled or disposed of.

Reinsurance

The Company cedes insurance risk in the normal course of business. Ceded insurance arrangements do not relieve the Company from its obligation to the policyholders. Premiums payable for reinsurance contracts are recognized as a contra-income account upon recognition of related premiums which are presented under "Reinsurers' share of gross earned premiums" account in profit or loss.

The related reinsurance premium ceded that pertains to the unexpired periods at end of the reporting period are accounted for as reinsurance premiums reserve shown as part of "Reinsurance assets" account in the statement of financial position. The net changes in reinsurance premiums reserve between each end of reporting period are recognized using the 24th method and are presented as part of "Reinsurers' share of gross earned premiums" account in profit or loss.

Reinsurance assets represents balances due from reinsurance companies for its share on the unpaid losses incurred by the Company. Recoverable amounts are estimated in the manner consistent with the outstanding claims provision and are in accordance with the reinsurance contract. Reinsurance recoverable on paid losses are included as part of "Insurance receivable - net" in the statement of financial position.

The benefits unpaid recoverable to which the Company is entitled under its reinsurance contracts held are recognized as reinsurance recoverable on unpaid losses classified under “Reinsurance assets” account in the statement of financial position. Reinsurance recoverable on unpaid losses are estimated in a manner consistent with the associated reinsured policies and in accordance with the reinsurance contracts.

When the Company enters into reinsurance agreements for ceding out its insurance business, the Company recognizes the amount payable to reinsurer under “Insurance payable” account in the statement of financial position for the reinsurer’s share in premium.

The Company also assumes reinsurance risk in the normal course of business. Premiums and claims on assumed reinsurance are recognized in profit or loss as income and expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the assumed business. For the assumed insurance risk, the Company recognizes its share in premium and portion of the reinsurance premium withheld by ceding companies as due from ceding companies and funds held by ceding companies, respectively, presented under “Insurance receivables” in the statement of financial position.

Gains and losses on buying reinsurance, if any, are recognized in profit or loss immediately at the date of purchase and are not amortized.

Premiums and claims are presented on a gross basis for ceded reinsurance. Reinsurance premiums are presented as “Reinsurers’ share of gross earned premiums”. The reinsurers’ share in claims paid by the Company and unpaid including IBNR claims are presented as “Reinsurer’s share of gross insurance contract benefits and claims paid” and “Reinsurer’s share of gross change in insurance contract liabilities”, respectively, in profit or loss.

Reinsurance assets and liabilities are derecognized when the contractual right is extinguished or expired or when the contract is transferred to another party.

Impairment of Reinsurance Assets

The Company assesses its reinsurance assets for impairment at least annually. If there is objective evidence that the reinsurance asset is impaired, the Company reduces the carrying amount of the reinsurance assets to its recoverable amount and recognize that impairment loss in profit or loss. The Company gathers the objective evidence that a reinsurance asset is impaired using specific assessment. The Company identifies individually which accounts should be provided with impairment loss.

Commission Income and Deferred Reinsurance Commissions

Commissions earned from reinsurance contracts are recognized as revenue over the period of the contracts using the 24th method. The portion of the commissions that relate to the unexpired periods of the policies at end of the reporting period are accounted for as “Deferred reinsurance commissions” in the statement of financial position. The net changes in deferred reinsurance commissions between each end of reporting period are recognized as “Commission income” in the profit or loss.

Insurance Contract Liabilities

Insurance contract liabilities are recognized when contracts are entered into and premiums are charged.

Provision for Unearned Premiums

The portion of written premiums, gross of commissions' payable to intermediaries, attributable to subsequent periods or to risks that have not yet expired, is deferred as provision for unearned premiums. Premiums from short-duration insurance contracts are recognized as revenue over the contract period using the 24th method. The change in the provision for unearned premiums is taken to profit or loss in the order that revenue is recognized over the period of risk. Further provisions are made to cover claims under unexpired insurance contracts which may exceed the unearned premiums and the premiums due in respect of these contracts.

Provision for Claims Reported and IBNR Losses

Provision for claims reported and IBNR losses are based on the estimated ultimate cost of all claims incurred but not settled at the end of the reporting period, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of which cannot be known with certainty at the reporting date. The IBNR shall be calculated based on standard actuarial projection techniques or combination of such techniques, such as but not limited to the chain ladder method, the expected loss ratio approach, the Bornhuetter - Ferguson method. At each reporting date, prior year claims estimates are reassessed for adequacy and changes made are charged to "Gross change in insurance contract liabilities" in profit or loss.

Liability Adequacy Test

At the end of each reporting period, liability adequacy test is performed to ensure the adequacy of insurance contract liabilities, net of the related deferred acquisition cost. The test considers current best estimates of future cash flows, claims handling cost and policy administrative expenses. Changes in expected claims that have occurred, but which have not been settled, are reflected by adjusting the liability for claims and future benefits. Any inadequacy arising from the test is immediately charged to profit or loss by establishing an unexpired risk provision for losses.

The Company's insurance contract liabilities are composed of premium liabilities and claims liabilities. Premium liabilities are calculated as the higher of provision for unearned premiums and the unexpired risk reserve. Unexpired risk reserve (URR) is an estimate of future claims and expenses, at a designated level of confidence, in respect of the risk during the unexpired period after the valuation date of the policies written prior to that date including maintenance and claims handling expense. If the unexpired risk reserve is higher than the provision for unearned premiums, the excess is set up as an additional insurance reserves on top of provision for unearned premiums. The estimation of URR is made for each class of business line.

While claims liabilities are composed of provision for claims reported and IBNR. The related significant accounting policies are disclosed in the preceding section of the notes to the separate financial statements.

Financial Assets

Date of Recognition

Financial instruments are recognized in the statement of financial position when the Company becomes a party to the contractual provisions of the instrument. The purchase or sale of a non-derivative financial asset that will be delivered within the timeframe generally established by regulation or convention in the market concerned, except for equity securities, are recognized on the date on which the instrument is actually transferred (the settlement date).

Initial Recognition

On initial recognition, a financial asset or liability is measured at fair value plus directly attributable transaction costs, unless the instrument is classified at FVPL. Normally, the fair value on initial recognition is the transaction price - i.e., the fair value of the consideration given (in case of an asset) or received (in case of a liability) for the financial instrument.

Classification and Subsequent Measurement

The Company classifies its financial assets in the following categories: financial assets at FVPL, HTM investments, loans and receivables, and AFS financial assets. The Company classifies its financial liabilities as either financial liabilities at FVPL or other financial liabilities. The classification depends on the purpose for which the investments are acquired and whether they are quoted in an active market. Management determines the classification of its financial assets and financial liabilities at initial recognition and, where allowed and appropriate, re-evaluates such designation at the end of each reporting period. As at December 31, 2025 and 2024, the Company did not have any financial liabilities at fair value and financial instruments at fair value, respectively.

Financial instruments issued by the Company are classified as a financial liability or equity in accordance with the substance of the contractual arrangement. Any interest, dividends, and realized and unrealized gains and losses from financial instruments or component considered as a financial liability are recognized in profit or loss for the period. On the other hand, distributions to holders of financial instruments classified as equity are treated as owner-related and thus charged directly to retained earnings.

As at December 31, 2025 and 2024, the Company did not issue any financial instruments classified as equity.

A more detailed description of the financial assets held by the Company is as follows:

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are not entered into with the intention of immediate or short-term resale and are not designated as financial assets at FVPL, AFS financial assets or HTM investments.

Subsequent to initial measurement, loans and receivables are carried at amortized cost using the effective interest method, less any impairment in value. Amortized cost is calculated by taking into account any discount or premium on the acquisition and fees that are integral part of the effective interest rate (EIR). Loans and receivables that are perpetual and that have either a fixed or a market-based variable rate of interest are measured at cost.

Any interest earned on loans and receivables is recognized in profit or loss on an accrual basis. Gains or losses are recognized in profit or loss when loans and receivables are derecognized or impaired.

The Company's financial assets categorized as loans and receivables consist of cash and cash equivalents, insurance receivables and loans, security and deposit fund presented under "Other assets" and Due from related party.

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less while, short-term placements have maturities of more than three months to less than a year. Cash and cash equivalents and short-term placements are subject to an insignificant risk of changes in value.

HTM

HTM investments are non-derivative financial assets with fixed and determinable payments and a fixed maturity that the Company has the positive intention and ability to hold to maturity other than those that: (1) the Company designates on initial recognition as at FVPL, (2) the Company designates as AFS financial assets and (3) those financial assets that meet the definition of loans and receivables. HTM investments are initially measured at fair value plus any directly attributable transaction cost. Subsequent to initial recognition, they are measured at amortized cost using the effective interest method, less any impairment in value. The amortization of premiums and discounts and any impairment losses during the year are recognized in profit or loss.

AFS Financial Assets

AFS financial assets are non-derivative financial assets that are either designated in this category or not classified in any of the other financial asset categories. These financial assets are purchased and held indefinitely and may be sold in response to liquidity requirements or changes in market conditions. These include debt and equity securities.

Subsequent to initial recognition, AFS financial assets are measured at fair value. Fair value changes are recognized in other comprehensive income. Cumulative change in the fair value is presented as "Revaluation reserve on AFS financial assets". Impairment losses and foreign exchange gains and losses on AFS debt instruments are recognized in profit or loss as they arise.

When the relevant asset is derecognized, on sale or other disposal, or is impaired, the cumulative fair value changes recognized in other comprehensive income are reclassified from equity to profit or loss. For a partial disposal, a proportionate share of the fair value gains and losses previously recognized in other comprehensive income is reclassified from equity to profit or loss.

Such gains and losses include all fair value changes until the date of disposal.

The Company's listed and unquoted equity securities are classified under this category.

Financial Instruments at FVPL

This category consists of financial instruments that are held-for-trading or designated by management on initial recognition. Financial instruments at FVPL are recorded in the statement of financial position at fair value.

These are allowed to be designated by management on initial recognition in this category when any of the following criteria are met:

- the designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or recognizing gains or losses on them on a different basis; or
- these are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy; or
- the financial instrument contains an embedded derivative, unless the embedded derivative does not significantly modify the cash flows or, it is clear, with little or no analysis, that it would not be bifurcated.

As at December 31, 2025 and 2024, the Company's financial asset designated by management as financial instruments at FVPL include unit investment trust funds.

Impairment of Financial Assets

The Company assesses, at each reporting date, whether there is objective evidence that a financial asset or group of financial assets may be impaired. A financial asset or a group of financial assets is impaired and impairment loss is incurred if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (loss event) and that loss event(s) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

AFS Financial Assets Carried at Fair Value

In case of equity securities classified as AFS financial assets, impairment indicators would include a significant or prolonged decline in the fair value of the investments below cost. Where there is objective evidence of impairment, the cumulative loss lodged under equity account, measured as the difference between the acquisition cost and the current fair value, less any impairment previously recognized in other comprehensive income, is transferred to profit or loss.

In the case of AFS debt securities, impairment is assessed based on the same criteria as financial assets carried at amortized cost. Interest continues to be accrued at the EIR on the reduced carrying amount of the asset and is recognized in profit or loss. If, in a subsequent year, the fair value of a debt instrument increased and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss to the extent that the resulting carrying amount of the security does not exceed its carrying amount had no impairment loss been recognized.

For a partial disposal, a proportionate share of the fair value gains and losses previously recognized in other comprehensive income is reclassified from equity account to profit or loss. Such gains and losses include all fair value changes until the date of disposal.

Gains (losses) on sale of AFS financial assets and impairment losses are reclassified from accumulated other comprehensive income to net gains (losses) on AFS financial assets.

Loans and Receivables and HTM Investments

For financial assets carried at amortized cost such as loans and receivables and HTM investments, the Company first assesses whether impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If no objective evidence of impairment has been identified for a particular financial asset that was individually assessed, the Company includes the asset as part of a group of financial assets with similar credit risk characteristics and collectively assesses the group for impairment.

Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in the collective impairment assessment.

Evidence of impairment for specific impairment purposes may include indications that a borrower or a group of borrowers is experiencing financial difficulty, default or delinquency in principal or interest payments, or may enter into bankruptcy or other form of financial reorganization intended to alleviate the financial condition of the borrower. For collective impairment purposes, evidence of impairment may include observable data on existing economic conditions or industry-wide developments indicating that there is a measurable decrease in the estimated future cash flows of the related assets.

If there is objective evidence of impairment, the amount of loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original EIR (i.e., the EIR computed at initial recognition). Time value is generally not considered when the effect of discounting the cash flows is not material. If an asset has a variable rate, the discount rate for measuring any impairment loss is the current EIR, adjusted for the original credit risk premium. For collective impairment purposes, impairment losses are computed based on their respective default and historical loss experience.

The carrying amounts of the loans and receivables and HTM investments shall be reduced either directly or through the use of an allowance account. The impairment losses for the period shall be recognized in profit or loss. If, in a subsequent period, the amount of the impairment losses decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed. Any subsequent reversal of impairment losses is recognized in profit or loss, to the extent that the carrying amounts of the loans and receivables and HTM investments do not exceed their amortized cost at the reversal date.

Where loans and receivables have been ascertained to be worthless, the related amount is written-off against the corresponding allowance for impairment.

Financial Liabilities

Issued financial instruments or their components, which are not classified as FVPL, are classified as other financial liabilities, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial instrument to the holder or lender, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial assets.

Subsequent to initial measurement, these financial liabilities are carried at amortized cost using the effective interest method, less any impairment losses. Amortized cost is calculated by taking into account any discount or premium on the acquisition and fees and costs that are an integral part of the EIR of the liability. The amortization is recognized in profit or loss.

Included in this category are claims reported under “Insurance contract liabilities”, insurance payable, commission payable, lease liabilities and other payables (excluding amounts payable to government agencies).

Fair Value Measurements

Fair Value Hierarchy

All assets and liabilities for which fair value is measured or disclosed in the separate financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., prices) or indirectly (i.e., derived from prices); and
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

For assets and liabilities that are recognized in the separate financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing the categorization at the end of each reporting period.

For purposes of the fair value disclosure, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy, as explained above.

Derecognition of Financial Assets and Financial Liabilities

Financial Assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized when:

- the contractual rights to receive cash flows from the asset have expired;
- the Company retains the right to receive cash flows from the financial asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement; or
- the Company has transferred its right to receive cash flows from the asset and either has:
 - transferred substantially all the risks and rewards of the asset; or
 - neither transferred nor retained substantially the risks and rewards of the financial asset but has transferred the control of the financial asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a “pass-through” arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset but transferred control of the asset, the Company continues to recognize the asset to the extent of the Company’s continuing involvement. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be acquired to pay.

Financial Liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.

Investment in Subsidiary

The Company's investment in subsidiary is accounted for in this its separate financial statements at cost, less any impairment loss. The cost of investment in subsidiary is the sum of the consideration given, including transaction costs, and the fair value of contingent consideration arrangement entered into which depends into future economic benefits. The Company recognized the subsequent changes of the contingent consideration in profit or loss.

If there is objective evidence that the investment in subsidiary will not be recovered, an impairment loss is provided. Impairment loss is measured as the difference between the carrying amount of the investment and present value of the estimated future cash flows discounted at the current market rate of return for similar financial asset. The amount of the impairment loss is recognized in profit or loss.

Property and Equipment

Property and equipment, except for office condominium, are stated at cost, net of accumulated depreciation and any impairment in value.

The initial cost of property and equipment comprises its purchase price, including any directly attributable costs of bringing the asset to its working condition and location for its intended use. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. All other repairs and maintenance are charged against profit or loss during the financial period in which they are incurred.

Depreciation is calculated using the straight-line method over the estimated useful lives of the assets as follows:

	Number of Years
Office condominium	14
Furniture, fixtures, and office equipment	5
Transportation equipment	5

The assets' residual values, estimated useful lives, and depreciation method are reviewed periodically to ensure that these are consistent to the expected pattern of economic benefits from the said property and equipment.

When property and equipment are retired or otherwise disposed of, the cost and the related accumulated depreciation and accumulated provision for impairment losses, if any, are removed from the accounts and any resulting gain or loss is credited to or charged against profit or loss.

Office condominium units are measured at fair value less accumulated depreciation and impairment losses recognized at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

A revaluation surplus is recorded in other comprehensive income under “Revaluation reserve on property and equipment” account, except to the extent that it reverses a revaluation decrease of the same asset previously recognized in profit or loss, in which case the increase is recognized in profit or loss. A revaluation deficit is recognized in the other comprehensive income, except to the extent that it offsets an existing surplus on the same asset recognized in the revaluation surplus.

Accumulated depreciation as of the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings. Transfers from revaluation reserve to retained earnings are not made through profit or loss.

Investment Property

Investment Property is initially measured at cost and subsequently at fair value with any change therein recognized in profit or loss under Investment income.

If the property was previously held for own use, then it is accounted for as property, plant and equipment if it is owned, and as a right-of-use asset if it is held by a lessee, up to the date of the change in use. Any difference at the date of the change in use between the carrying amount of the property and its fair value is recognised as a revaluation, even if the property was previously measured using the cost model. Any existing or arising revaluation surplus previously recognised in OCI is not transferred to profit or loss at the date of transfer or on subsequent disposal of the investment property. However, on subsequent disposal, any existing revaluation surplus that was recognised when the entity applied therevaluation model to the property may be transferred to retained earnings.

Determination of Fair Value of Nonfinancial Assets

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

External appraisers are involved for valuation of significant assets, such as investment properties. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained.

Impairment of Nonfinancial Assets

At each reporting date, the Company assesses whether there is any indication that its nonfinancial assets may be impaired. When an indicator of impairment exists or when an annual impairment testing for an asset is required, the Company makes a formal estimate of recoverable amount.

Recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the recoverable amount is assessed as part of the cash generating unit to which it belongs.

Where the carrying amount of an asset (or cash generating unit) exceeds its recoverable amount, the asset (or cash generating unit) is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessment of the time value of money and the risks specific to the asset (or cash generating unit).

An impairment loss is charged against operations in the year in which it arises, unless the asset is carried at a revalued amount, in which case the impairment loss is charged against the revaluation increment of the said asset.

For nonfinancial assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase under other comprehensive income.

After such a reversal, the depreciation expense is adjusted in future years to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Revenue Recognition

The Company's revenue streams arising from insurance contracts falls under PFRS 4 while interest and dividend income falls under PAS 39 and other income under PFRS 15 *Revenue from Contracts with Customers*. The following specific criteria must also be met before revenue is recognized:

Premiums Revenue

Premiums from short-duration insurance contracts are recognized as revenue over the period of the contracts using the 24th method. The portion of the premiums written that relate to the unexpired periods of the policies at reporting date is accounted for as provision for unearned premiums presented as part of "Insurance contract liabilities" in the statement of financial position. The related reinsurance premiums that pertain to the unexpired periods at reporting date are accounted for as deferred reinsurance under "Reinsurance assets". The net changes in these accounts between reporting dates are included in the determination of net earned insurance premiums.

Reinsurance Commission Income

Commissions earned from short-duration insurance contracts are recognized as revenue over the contract period using the 24th method. The portion of the commissions that relate to the unexpired periods of the policies at the reporting date are accounted for as “Deferred reinsurance commissions” in the statement of financial position.

Interest Income

Interest income is recognized as it accrues in accordance with effective interest method.

Expense Recognition

Expenses are decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distribution to equity participants.

Other Underwriting Expense

Other underwriting expense pertains to the costs incurred by the Company prior to the issuance of policies to its policyholders. These costs include expenses for technical inspections, actuarial reviews, and other work deemed necessary to determine whether or not to accept the risks to be written.

Taxes

Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at each reporting date, and any adjustment to tax payable in respect of previous years.

Deferred Tax

Deferred tax is provided, using the asset-liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluations. Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of MCIT over the regular income tax, and unused NOLCO, to the extent that it is probable that sufficient taxable profit will be available against which the deductible temporary differences and carryforward of unused tax credits from MCIT and unused NOLCO can be utilized. Deferred tax, however, is not recognized on temporary differences that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income or loss.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow all or part of the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that is applicable to the period when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted as of the reporting date. Movements in the deferred income tax assets and liabilities arising from changes in tax rates are charged against or credited to income for the period.

Current tax and deferred tax relating to items recognized directly in equity are also recognized in equity and not in profit or loss.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Final Tax

Interest income from cash in banks, debt securities, funds held by ceding companies and dividend income, which is subject to final withholding tax, is presented at gross amounts while taxes paid or withheld are recognized as final tax under "Current income tax" in profit or loss.

CWT

CWT pertains to the indirect tax paid by the Company that is withheld by its counterparty for the payment of premiums to the Company. CWT is initially recorded at cost under "Other assets" account in the statement of financial position.

At each end of the tax reporting deadline, CWT may either be offset against future income tax payable or be claimed as a refund from the taxation authorities at the option of the Company. If CWT is claimed as a refund, these will be reclassified to receivables in the statement of financial position when the refund is virtually certain.

At each end of the reporting period, an assessment for impairment is performed as to the recoverability of the CWT.

VAT

Revenues, expenses and assets are recognized net of the amount of VAT, except:

- where the tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the tax is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- receivables and payables that are stated with the amount of tax included.

The net amount of tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

30. Management of Capital, Insurance Risks, and Financial Risks

Governance Framework

The primary objective of the Company's risk and financial management framework is to recognize, identify and measure risks and manage the Company's portfolio to achieve expected return consistent with the risks taken. The Company recognizes the importance of having efficient and effective risk management systems in place to minimize uncompensated and inappropriate risks.

The Company has established a risk management function with clear terms of reference for the BOD and senior management. Further, a clear organization structure with delegated authorities and responsibilities from senior management to department managers has been developed. Lastly, the Company policy framework which sets out the risk portfolio of the Company, including but not limited to geographical and industry segments, risk management, control and business conduct standards for the Company's operations has been put in place.

The Company's senior management together with the department managers meet once a month or as the need arises, to discuss the Company's identified risks, their quantification and disposition, whether they will be accepted, transferred or eliminated from the portfolios, taking into account the Company's retention limit structure, the prevailing commercial and regulatory requirements, and potential financial effects.

Regulatory Framework

Regulators are interested in protecting the rights of the policyholders and maintain close vigil to ensure that the Company is satisfactorily managing affairs for their benefit. At the same time, the regulators are also interested in ensuring that the Company maintains appropriate solvency position to meet liabilities arising from claims and that the risk levels are at acceptable levels. The operations of the Company are also subject to the regulatory requirements of the IC. Such regulations not only prescribe approval and monitoring of activities but also impose certain restrictive provisions (e.g., capital adequacy to minimize the risk of default and insolvency on the part of the insurance companies to meet the unforeseen liabilities as these arise).

Capital Management Framework

The primary objective for capital management is to enable the Company to determine the level of capital necessary to support its insurance operations, to provide a desired degree of protection for its policyholders, and to maintain an adequate margin of solvency at all times. The Company shall maintain capital equal to or higher than the minimum capital requirements set by the regulators and the amount computed under the Risk-Based Capital (RBC) Model. Management considers the Company's total equity as its capital.

Any inadequacy in the required capital will require capital infusion or the Company's license to operate insurance business could be revoked.

There were no changes made to its capital base, objectives, policies and processes from previous years.

Net Worth Requirements

Under Section 194 of the Amended Insurance Code RA) which was approved on August 15, 2013, every insurance company doing business in the Philippines needs to comply with the following net worth requirements:

Net Worth	Compliance Date
P250,000,000	On or before June 30, 2013
550,000,000	On or before December 31, 2016
900,000,000	On or before December 31, 2019
1,300,000,000	On or before December 31, 2022

As at December 31, 2025 and 2024, the Company has complied with the net worth requirements based on internal calculations. The final amount of net worth can be determined only after the accounts of the Company have been examined by the IC, especially as to the admitted and non-admitted assets as defined under the Amended Insurance Code.

RBC Requirements

IC Circular Letter No. 2016-68, *Amended RBC2 Framework*, provides for the RBC2 framework for the nonlife insurance industry to establish the required amounts of capital to be maintained by the insurance companies in relation to the risks an insurance company is exposed to. Every nonlife insurance company is annually required to maintain an RBC2 ratio of at least 100% and not to fail the trend test. Failure to meet the minimum RBC2 ratio shall subject the insurance company to regulatory intervention which could be at various levels depending on the degree of the violation.

The RBC2 ratio shall be calculated as total available capital (TAC) divided by the RBC2 requirement. TAC is the aggregate of Tier 1 and Tier 2 capital minus deductions, subject to applicable limits determined by IC. With Tier 1 Capital being the capital fully available to cover losses at all times on a going concern and winding up basis. And Tier 2 Capital as the capital that can also provide additional buffer to the insurance company, though it is not of the same high quality as Tier 1 Capital.

The following table shows how the RBC ratio was determined by the Company based on internal calculations:

	2025	2024
Net worth	P1,516,724,929	P1,496,728,819
RBC capital	163,261,725	109,558,859
RBC ratio	928%	1,366%

The final RBC ratio can only be determined after the accounts of the Company have been examined by the IC specifically as to admitted and non-admitted assets as defined under the Insurance Code.

Insurance Risk

The risk under an insurance contract is the possibility of occurrence of insured event and uncertainty of the amount and timing of any resulting claim. The principal risk the Company faces under such contracts is that the actual claims will exceed the carrying amount of insurance liabilities. This could occur due to any of the following:

Occurrence Risk

The possibility that the number of insured events will differ from those expected.

Severity Risk

The possibility that the cost of the events will differ from those expected.

Development Risk

The possibility that changes may occur in the amount of an insurer's obligation at the end of the contract period.

The variability of risks is improved by diversification of risk of loss to a large portfolio of insurance contracts as a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio. The variability of risks is also improved by careful selection and implementation of underwriting strategies and guidelines.

The business of the Company comprises short term nonlife insurance contracts. For nonlife insurance contracts, claims are often affected by natural disasters, calamities, terrorist attacks, and the like events.

These risks currently do not vary significantly in relation to the location of the risk insured by the Company whilst undue concentration by amounts could have an impact on the severity of benefit payments on a portfolio basis.

The Company has an objective to control and minimize insurance risk, to reduce volatility of operating profits and to maintain adequate solvency margins. The Company manages insurance risk through the mechanisms in the next page.

The use and maintenance of sufficient management records that provide up to date, accurate and reliable data on risk exposure by industry segment, geographical location, type of coverage at any point in time; deviations from set exposure limits; industry developments and changes in regulatory provisions.

Underwriting guidelines are issued for concluding insurance contracts both for direct insurance and treaty and facultative insurance acceptances.

Timely and judicious claims handling procedures are followed to investigate and adjust reported claims thereby preventing settlement of dubious or fraudulent claims.

Risk mitigation is accomplished by imposing deductibles on policies, placing of reinsurance business with reinsurers which offer the best security for limiting the Company's exposure to large claims and uncompensated risks.

Diversification of insurance coverage is achieved by including on the Company's underwriting portfolio various types of risks in different industry segments, geographical locations, and policy terms and conditions to reduce the potential overall impact of adverse losses in a specific risk.

There has been no change to the Company's exposure to insurance risk or the manner in which it manages and measure risk since the prior financial year.

The Company principally issued the following types of general insurance contracts:

		2025		
		Gross Claims	Reinsurer's	Net Claims
	Note	Liabilities	Share of Claims	Liabilities
Fire and special risk		P27,634,747	P18,712,580	P8,922,167
Motor car		7,130,951	227,073	6,903,878
Marine cargo		50,895	17,523	33,372
Casualty		956,821	550,436	406,385
Erection and machineries		164,241	44,274	119,967
Personal accident		1,070,458	312,965	757,493
	13	P37,008,113	P19,864,851	P17,143,262

		2024		
		Gross Claims	Reinsurer's	Net Claims
	Note	Liabilities	Share of Claims	Liabilities
Fire and special risk		P41,052,845	P35,631,779	P5,421,066
Motor car		10,864,807	368,802	10,496,005
Marine cargo		88,033	55,653	32,380
Casualty		2,323,341	1,323,619	999,722
Erection and machineries		412,360	146,477	265,883
Personal accident		1,103,737	443,446	660,291
	13	P55,845,123	P37,969,776	P17,875,347

Terms and Conditions

The major classes of general insurance written by the Company include fire and special risks, motor car, marine cargo, personal accident, casualty, and engineering. Risks under these policies usually cover a 12-month duration.

For general insurance contracts, claims provisions (comprising provisions for claims reported by policyholders and IBNR) are established to cover the ultimate cost of settling the liabilities in respect of claims that have occurred and are estimated based on known facts at the reporting date.

The provisions are refined quarterly as part of a regular ongoing process as claims experience develops, certain claims are settled and further claims are reported. Outstanding claims provisions are not discounted for the time value of money.

The measurement process primarily includes projection of future claim costs. In certain cases, where there is a lack of reliable historical data on which to estimate claims development, relevant benchmarks of similar business are used in developing claims estimates. Claim provisions are separately analyzed by class of business. In addition, larger claims are usually assessed separately by loss adjusters. The claims projection assumptions are generally intended to provide a best estimate of the most likely or expected outcome.

Assumptions

The principal assumption underlying the estimates is the Company's past claims development experience. Loss development factors are established by analyzing prior years' claims data and deriving the claims development trend by class of business.

Sensitivities

The insurance claims provision is sensitive to the above key assumptions. Because of delays that arise between occurrence of a claim and its subsequent notification and eventual settlement, the outstanding claim provisions are not known with certainty at the reporting dates.

Consequently, the ultimate liabilities will vary as a result of subsequent developments. Differences resulting from reassessments of the ultimate liabilities are recognized in subsequent separate financial statements.

The table below indicates the impact of changes in certain key assumption in respect of general insurance business while other assumptions remain unchanged.

		Change in Assumption	Impact on Net Insurance Contract Liabilities (‘000)	Impact on Income before Income Tax (‘000)
2025	Average claim cost	40% decrease	P6,857	(P6,857)
2024	Average claim cost	19% decrease	3,396	(3,396)

Claims Development Table

The following tables reflect the cumulative incurred claims, including both claims notified and claims IBNR for each successive accident year at each reporting date, together with the cumulative payments to date:

Gross Insurance Contract Liabilities for 2025												
Accident Year	Note	2016 and Prior Years	2017	2018	2019	2020	2021	2022	2023	2024	2025	Total
Accident year		P222,013,810	P15,947,144	P4,237,812	P3,676,094	P5,732,325	P14,685,171	P21,114,082	P84,899,424	P27,067,385	P15,300,183	P15,300,183
One year later		219,247,790	13,748,603	4,172,060	3,195,463	4,052,360	14,685,171	13,377,775	71,513,302	27,067,385	-	27,067,385
Two years later		186,297,019	13,454,375	3,017,256	3,195,462	4,052,360	14,685,171	12,676,798	57,578,173	-	-	57,578,173
Three years later		182,118,634	14,506,656	3,065,961	3,195,462	4,052,360	14,685,171	12,676,798	-	-	-	12,676,798
Four years later		180,140,027	14,668,013	3,065,961	3,195,462	4,052,360	14,685,171	-	-	-	-	14,685,171
Five years later		179,891,737	14,668,013	3,065,961	3,195,462	4,052,360	-	-	-	-	-	4,052,360
Six years later		181,847,066	14,668,013	3,065,961	3,195,462	-	-	-	-	-	-	3,195,462
Seven years later		176,630,112	14,668,013	3,065,961	-	-	-	-	-	-	-	3,065,961
Eight years later		177,299,336	14,668,013	-	-	-	-	-	-	-	-	14,668,013
Nine years later		182,686,494	-	-	-	-	-	-	-	-	-	182,686,494
Current estimate cumulative claims		182,686,494	14,668,013	3,065,961	3,195,462	4,052,360	14,685,171	12,676,798	57,578,173	27,067,385	15,300,183	334,976,000
Cumulative payments to date		(182,686,494)	(14,668,013)	(3,065,961)	(3,195,462)	(4,052,360)	(14,685,171)	(12,250,461)	(37,413,403)	(12,015,433)	(13,935,129)	(297,967,887)
Gross insurance contract liabilities recognized in the statements of financial position	13	P -	P -	P -	P -	P -	P -	P426,337	P20,164,770	P15,051,952	P1,365,054	P37,008,113

Net Insurance Contract Liabilities for 2025												
Accident Year	Note	2016 and Prior Years	2017	2018	2019	2020	2021	2022	2023	2024	2025	Total
Accident year		P107,828,269	P11,567,454	P2,675,846	P2,972,004	P3,003,817	P10,130,550	P10,822,133	P30,964,946	P18,545,953	P1,173,357	P1,173,357
One year later		119,163,739	11,686,243	2,480,212	3,082,216	4,578,890	10,130,550	6,680,842	26,440,490	18,545,953	-	18,545,953
Two years later		117,064,812	11,415,891	2,410,929	3,095,579	4,578,890	10,130,550	6,487,128	26,440,490	-	-	26,440,490
Three years later		116,766,381	13,541,137	1,517,991	3,095,579	4,578,890	10,130,550	6,487,128	-	-	-	6,487,128
Four years later		113,602,611	13,456,679	1,517,991	3,095,579	4,578,890	10,130,550	-	-	-	-	10,130,550
Five years later		110,727,548	13,456,679	1,517,991	3,095,579	4,578,890	-	-	-	-	-	4,578,890
Six years later		110,810,840	13,456,679	1,517,991	3,095,579	-	-	-	-	-	-	3,095,579
Seven years later		110,095,445	13,456,679	1,517,991	-	-	-	-	-	-	-	1,517,991
Eight years later		110,683,941	13,456,679	-	-	-	-	-	-	-	-	13,456,679
Nine years later		113,967,583	-	-	-	-	-	-	-	-	-	113,967,583
Current estimate cumulative claims		113,967,583	13,456,679	1,517,991	3,095,579	4,578,890	10,130,550	6,487,128	26,440,490	18,545,953	1,173,357	199,394,200
Cumulative payments to date		(113,967,583)	(13,456,679)	(1,517,991)	(3,095,579)	(4,578,890)	(10,130,550)	(6,277,024)	(20,789,614)	(7,370,732)	(1,066,296)	(182,250,938)
Net insurance contract liabilities recognized in the statements of financial position	13	P -	P -	P -	P -	P -	P -	P210,104	P5,650,876	P11,175,221	P107,061	P17,143,262

Gross Insurance Contract Liabilities for 2024												
Accident Year	Note	2015 and Prior Years	2016	2017	2018	2019	2020	2021	2022	2023	2024	Total
Accident year		P207,356,695	P14,657,115	P15,947,144	P4,237,812	P3,676,094	P5,732,325	P14,685,171	P21,114,082	P84,899,424	P33,237,140	P33,237,140
One year later		203,527,894	15,719,896	13,748,603	4,172,060	3,195,463	4,052,360	14,685,171	13,377,775	71,513,302	-	71,513,302
Two years later		170,802,208	15,494,811	13,454,375	3,017,256	3,195,462	4,052,360	14,685,171	12,676,798	-	-	12,676,798
Three years later		166,618,301	15,500,333	14,506,656	3,065,961	3,195,462	4,052,360	14,685,171	-	-	-	14,685,171
Four years later		166,159,415	13,980,612	14,668,013	3,065,961	3,195,462	4,052,360	-	-	-	-	4,052,360
Five years later		165,364,455	14,527,282	14,668,013	3,065,961	3,195,462	-	-	-	-	-	3,195,462
Six years later		167,319,784	14,527,282	14,668,013	3,065,961	-	-	-	-	-	-	3,065,961
Seven years later		162,102,830	14,527,282	14,668,013	-	-	-	-	-	-	-	14,668,013
Eight years later		162,772,054	14,527,282	-	-	-	-	-	-	-	-	14,527,282
Nine years later		168,159,212	-	-	-	-	-	-	-	-	-	168,159,212
Current estimate cumulative claims		168,159,212	14,527,282	14,668,013	3,065,961	3,195,462	4,052,360	14,685,171	12,676,798	71,513,302	33,237,140	339,780,701
Cumulative payments to date		(168,159,212)	(14,527,282)	(14,668,013)	(3,065,961)	(3,195,462)	(4,052,360)	(14,685,171)	(12,036,933)	(35,577,839)	(13,967,345)	(283,935,578)
Gross insurance contract liabilities recognized in the statements of financial position	13	P -	P -	P -	P -	P -	P -	P -	P639,865	P35,935,463	P19,269,795	P55,845,123
Net Insurance Contract Liabilities for 2024												
Accident Year	Note	2015 and Prior Years	2016	2017	2018	2019	2020	2021	2022	2023	2024	Total
Accident year		P93,574,370	P14,253,899	P11,567,454	P2,675,846	P2,972,004	P3,003,817	P10,130,550	P10,822,133	P30,964,946	P24,762,608	P24,762,608
One year later		104,398,199	14,765,540	11,686,243	2,480,212	3,082,216	4,578,890	10,130,550	6,680,842	26,440,490	-	26,440,490
Two years later		102,663,926	14,400,886	11,415,891	2,410,929	3,095,579	4,578,890	10,130,550	6,487,128	-	-	6,487,128
Three years later		102,379,682	14,386,699	13,541,137	1,517,991	3,095,579	4,578,890	10,130,550	-	-	-	10,130,550
Four years later		101,977,440	11,625,171	13,456,679	1,517,991	3,095,579	4,578,890	-	-	-	-	4,578,890
Five years later		101,787,846	8,939,702	13,456,679	1,517,991	3,095,579	-	-	-	-	-	3,095,579
Six years later		101,871,138	8,939,702	13,456,679	1,517,991	-	-	-	-	-	-	1,517,991
Seven years later		101,155,743	8,939,702	13,456,679	-	-	-	-	-	-	-	13,456,679
Eight years later		101,744,239	8,939,702	-	-	-	-	-	-	-	-	8,939,702
Nine years later		105,027,881	-	-	-	-	-	-	-	-	-	105,027,881
Current estimate cumulative claims		105,027,881	8,939,702	13,456,679	1,517,991	3,095,579	4,578,890	10,130,550	6,487,128	26,440,490	24,762,608	204,437,498
Cumulative payments to date		(105,027,881)	(8,939,702)	(13,456,679)	(1,517,991)	(3,095,579)	(4,578,890)	(10,130,550)	(6,126,760)	(20,767,577)	(12,920,542)	(186,562,151)
Net insurance contract liabilities recognized in the statements of financial position	13	P -	P -	P -	P -	P -	P -	P -	P360,368	P5,672,913	P11,842,066	P17,875,347

Financial Risk

The Company is exposed to financial risk through its financial assets and financial liabilities. In particular, the key financial risk is that the proceeds from its financial assets will not be sufficient to fund the obligations arising from its insurance contracts. The most important components of this financial risk are credit risk, liquidity risk, and market risk.

These risks arise from open positions in interest rate, currency and equity securities, all of which are exposed to general and specific market movements. The risk that the Company primarily faces due to the nature of its investments and liabilities is interest rate risk.

There has been no change to the Company's exposure to financial risk or the manner in which it manages and measure risk since the prior financial year.

Credit Risk

Credit risk is the risk that one party will fail to perform fully its financial obligation which may pertain to risk of default on a loan as well as the risk of a counterparty failing to meet its obligation especially with respect to loss recoveries on reinsurance business.

The Company manages the level of credit risk it accepts through a comprehensive credit risk policy which sets out the following:

- assessment and determination of acceptable and desired credit risk levels for the Company by setting up of exposure limits by each counterparty or group of counterparties, geographical regions, and economic sectors, and specific products;
- right of offset where counterparties are both debtors and creditors;
- imposing collateral and guarantee requirements;
- reporting of credit risk exposures and deviations; and
- monitoring compliance with credit risk policy and review of credit risk policy for pertinence and changing environment.

Reinsurance of risk is placed with high-rated reinsurers and concentration of risk is avoided by following policy guidelines in respect of counterparties' limits that are set each year and are subject to regular reviews. The Company undertakes significant due diligence with respect to the reinsurers with which it has reinsurance agreements in place. An appropriate number of these reinsurers are utilized and additional protection is sought through information on security for these counterparties. Management performs assessment of creditworthiness of reinsurers to update reinsurance purchase strategies and ascertain suitable allowance for impairment of reinsurance assets.

In respect of investment securities, the Company's investments are subject to the regulatory requirements of the Insurance Code as supervised by the IC which set allowable investment assets, quantitative limits, and other pertinent restrictive provisions, and help mitigate the credit risk on investment assets. Credit risk arising from investment portfolios is addressed by setting authorized assets and limits and checking the level of credit risk related to a specific asset, adequacy of pricing, and returns for current and prospective investments.

The following table provides information regarding the maximum credit risk exposure, net of impairment losses, of the Company as at December 31, 2025 and 2024:

	Note	2025	2024
Cash and cash equivalents*	4, 31	P876,299,314	P872,364,786
Insurance receivables:			
Premiums receivable	5, 28	26,860,064	8,288,376
Reinsurance recoverable on paid losses	5, 28	20,769,658	21,687,762
Due from ceding companies	5, 28	7,626,144	8,342,017
Funds held by ceding companies	5, 28	11,702,084	11,702,084
HTM investments	6, 28, 31	334,314,374	328,352,094
Loans and receivables	6, 28, 31	4,443,897	4,157,453
Due from related party	6, 28, 31	200,000,000	-
Advances to a subsidiary	6, 28, 31	-	200,000,000
		P1,482,015,535	P1,454,894,572

*Excluding Cash on hand

Carrying amount of all the other financial assets of the Company represents the maximum exposure to credit risk.

The tables below provide information regarding the credit risk exposure of the Company by classifying assets according to the Company's assessment of credit standing of the counterparties, historical dealings and experience with the counterparties, underlying collaterals, if any, and other factors.

	Note	Neither Past Due nor Impaired		2025 Past Due but not Impaired	Impaired	Total
		High	Medium			
Cash and cash equivalents*	4, 31	P876,299,314	P -	P -	P -	P876,299,314
Insurance receivables:						
Premiums receivable	5, 28, 31	37,761,233	-	(10,901,169)	45,711,485	72,571,549
Reinsurance recoverable on paid losses	5, 28, 31	20,769,658	-	-	848,508	21,618,166
Due from ceding companies	5, 28, 31	7,626,144	-	-	598,639	8,224,783
Funds held by ceding companies	5, 28, 31	11,702,084	-	-	669,955	12,372,039
HTM Investments	6, 28, 31	334,314,374	-	-	-	334,314,374
Loans and receivables	6, 28, 31	4,443,897	-	-	-	4,443,897
Due from related party	6, 28, 31	200,000,000	-	-	-	200,000,000
Advances to a subsidiary	6, 28, 31	-	-	-	-	-
		P1,492,916,704	P -	(P10,901,169)	P47,828,587	P1,529,844,122

*Excluding Cash on hand

	Note	Neither Past Due nor Impaired		2024 Past Due but not Impaired	Impaired	Total
		High	Medium			
Cash and cash equivalents*	4, 31	P872,364,786	P -	P -	P -	P872,364,786
Insurance receivables:						
Premiums receivable	5, 28, 31	10,090,968	5,960,982	(7,763,574)	42,388,437	50,676,813
Reinsurance recoverable on paid losses	5, 28, 31	21,687,762	-	-	848,508	22,536,270
Due from ceding companies	5, 28, 31	8,342,017	-	-	598,639	8,940,656
Funds held by ceding companies	5, 28, 31	11,702,084	-	-	669,955	12,372,039
HTM Investments	6, 28, 31	328,352,094	-	-	-	328,352,094
Loans and receivables	6, 28, 31	4,157,453	-	-	-	4,157,453
Advances to a subsidiary	6, 28, 31	200,000,000	-	-	-	200,000,000
		P1,456,697,164	P5,960,982	(P7,763,574)	P44,505,539	P1,499,400,111

*Excluding Cash on hand

The credit quality of the financial assets was determined as follows:

High grade pertains to cash in banks and short-term placements, HTM Investments, insurance receivable, and loans and receivables with high probability of collection.

Medium grade pertains to unquoted financial assets other than cash in banks, short-term placements and receivables from counterparties with average capacity to meet their obligations.

Past due but not impaired pertains to receivables from counterparties with good track records with the Company or those with on-going transactions. Based on past experience, the Company believes that no allowance for impairment is necessary.

Impaired pertains to the allowance for impairment losses that the Company recognizes due to the uncertainty of the collectability of the Company's receivables.

The Company did not have any significant concentration of credit risk with a single counter party or group of counterparties as at December 31, 2025 and 2024. In terms of the type of the financial asset, the credit risk is concentrated in cash and cash equivalents and HTM investments since it amounted to P1.21 billion (79.13%) and P1.20 billion (80.08%) of the Company's total financial assets as at December 31, 2025 and 2024, respectively.

Liquidity Risk

Liquidity or funding risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from either the inability to sell financial assets quickly at their fair values, counterparty failing on repayment of a contractual obligation, insurance liability falling due for payment earlier than expected, or inability to generate cash inflows as anticipated.

Because of the difficulty in accurately forecasting the amount of claims that the Company will incur and pay, the major liquidity risk confronting the Company is the daily calls on its available cash resources in respect of claims arising from insurance contracts.

The Company addresses its liquidity risk through a liquidity risk policy which sets out the following:

- determining the level of acceptable liquidity risk for the Company;
- specifies minimum proportion of funds to meet emergency calls especially with respect to claims;
- setting up of contingency funding plans;
- cash flow projections which specify the sources of funding and uses for such funds;
- reporting of conditions which might trigger liquidity risk deviations; and
- review of liquidity risk policy for applicability in relation to market changes, government control and the environment in general.

The table below analyzes financial assets and liabilities, including reinsurance assets and insurance liabilities, of the Company into their relevant maturity group based on the remaining period at the reporting date to their undiscounted contractual maturities or expected repayment dates.

	Note	2025				Total
		Within a Year	1 - 3 Years	3 - 5 Years	No Term	
Cash and cash equivalents*	4, 31	P876,299,314	P -	P -	P -	P876,299,314
Insurance receivables	5, 28	66,957,950	-	-	-	66,957,950
Investment at FVPL	6, 28, 31	-	-	-	120,073	120,073
AFS financial assets	6, 28, 31	-	-	-	190,944	190,944
HTM investments	6, 28, 31	27,112,776	307,201,598	-	-	334,314,374
Investment in a subsidiary		-	-	-	81,821,881	81,821,881
Loans and receivables	6, 28, 31	4,443,897	-	-	-	4,443,897
Due from related party	6, 28, 31	200,000,000	-	-	-	200,000,000
Advances to a subsidiary	6, 28, 31	-	-	-	-	-
Total Financial Assets		1,174,813,937	307,201,598	-	82,132,898	1,564,148,433
Insurance contract liabilities**	13, 31	31,473,062	-	-	-	31,473,062
Lease liability	25, 28	2,480,382	-	-	-	2,480,382
Insurance payables	14, 28, 31	3,323,262	-	-	-	3,323,262
Commissions payable	28, 31	19,958,072	-	-	-	19,958,072
Other Payables***	15, 31	7,332,314	-	-	-	7,332,314
Total Financial Liabilities		P64,567,092	P -	P -	P -	P64,567,092

*excluding cash on hand.

**excluding IBNR and UPR.

***excluding Taxes Payable

	Note	2024				Total
		Within a Year	1 - 3 Years	3 - 5 Years	No Term	
Cash and cash equivalents*	4, 31	P872,364,786	P -	P -	P -	P872,364,786
Insurance receivables	5, 28	50,020,239	-	-	-	50,020,239
Investment at FVPL	6, 28, 31	-	-	-	115,195	115,195
AFS financial assets	6, 28, 31	-	-	-	214,456	214,456
HTM investments	6, 28, 31	188,418,051	139,934,043	-	-	328,352,094
Investment in a subsidiary		-	-	-	81,821,881	81,821,881
Loans and receivables	6, 28, 31	4,157,453	-	-	-	4,157,453
Advances to a subsidiary	6, 28, 31	200,000,000	-	-	-	200,000,000
Total Financial Assets		1,314,960,529	139,934,043	-	82,151,532	1,537,046,104
Insurance contract liabilities**	13, 31	52,218,550	-	-	-	52,218,550
Lease liability	25, 28	3,548,750	2,480,382	-	-	6,029,132
Insurance payables	14, 28, 31	7,769,518	-	-	-	7,769,518
Commissions payable	28, 31	11,942,435	-	-	-	11,942,435
Other Payables***	15, 31	6,113,967	-	-	-	6,113,967
Total Financial Liabilities		P81,593,220	P2,480,382	P -	P -	P84,073,602

*excluding cash on hand.

**excluding IBNR and UPR.

***excluding Taxes Payable

It is unusual for a company primarily transacting insurance business to predict the requirements of funding with absolute certainty as theory of probability is applied on insurance contracts to ascertain the likely provision and the time period when such liabilities will require settlement.

The amounts and maturities in respect of insurance liabilities are, thus, based on management's best estimate using information that develops during the course of the loss adjustment process.

Market Risk

Market risk is the risk of change in fair value of financial instruments from fluctuation in foreign exchange rates (currency risk), market interest rates (interest rate risk) and market prices (price risk), whether such change in price is caused by factors specific to the individual instrument or its issuer or factors affecting all instruments traded in the market.

The Company manages market risks through a market risk policy that sets out the following:

- acceptable level of market risk for the Company;
- basis used to determine the fair value of financial assets and liabilities;
- asset allocation and portfolio limit structure by type of instrument and geographical area, counterparty or group of counterparties, and industry segments;
- market risk exposures and conditions that might trigger market risk deviations; and market risk policy for pertinence in relation to market changes and in the environment.

Currency Risk

The Company's principal transactions are carried out in Philippine Peso and its exposure to foreign exchange risk arises primarily with respect to the US Dollar, as it deals with foreign reinsurers in its settlement of its obligations and receipt of any claim reimbursements.

The Company's financial assets are denominated in the same currency as its insurance liabilities, which mitigate the foreign currency exchange rate risk. Thus, the main foreign exchange risk arises from recognized assets and liabilities denominated in currencies other than those in which the insurance liabilities are expected to be settled.

The table below summarizes the Company's exposure to foreign currency exchange risk on its cash in banks as at December 31, 2025 and 2024:

	USD	PHP
2025	USD29,034	1,706,909
2024	USD29,034	1,679,482

The exchange rates of Philippine Peso to US Dollar were P58.79 and P57.85 per USD 1.00 from Banker's Association of the Philippines, as at December 31, 2025 and 2024, respectively.

The analysis below is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of cash).

	Increase (Decrease) in Exchange Rate	Impact on Income before Tax Increase (Decrease)
2025	+5%	85,346
	-5%	(85,346)
2024	+5%	83,974
	-5%	(83,974)

There is no other impact on the Company's equity other than those already affecting the profit and loss.

Interest Rate Risk

Interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in interest rates.

Floating rate instruments expose the Company to cash flow interest risk, whereas fixed interest rate instruments expose the Company to fair value risk.

The following table shows the information relating to the Company's financial instruments that are exposed to interest rate risk presented by maturity profile.

2025							
		Maturity					
Note	Interest Rates	Within a Year	1 - 3 Years	4 - 5 Years	Over 5 Years	Total	
HTM financial assets	6, 28, 31	2.100%-5.000%	P27,112,776	P307,201,598	P -	P -	P334,314,374
Insurance payables	14, 28, 31	5%	3,323,262	-	-	-	3,323,262

2024							
		Maturity					
Note	Interest Rates	Within a Year	1 - 3 Years	4 - 5 Years	Over 5 Years	Total	
HTM financial assets	6, 28, 31	2.100%-5.000%	P188,418,051	P139,934,043	P -	P -	P328,352,094
Insurance payables	14, 28, 31	5%	7,769,518	-	-	-	7,769,518

Price Risk

The Company's price risk exposure at year-end relates to financial assets whose values will fluctuate as a result of changes in market prices, principally AFS equity securities.

Such investment securities are subject to price risk due to changes in market values of instruments arising either from factors specific to individual instruments or their issuers or factors affecting all instruments traded in the market.

The Company's market risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plan, limits on investment in each sector and market, and careful and planned use of derivative instruments.

The analysis below is performed for reasonably possible movements in Philippine Stock Exchange index (PSEi) with all other variables held constant, showing the impact on other comprehensive income (that reflects adjustments on changes in fair value of listed AFS equity financial assets).

2025		
Market Indices	Change in Variable	Impact on Equity Increase (Decrease)
PSEi	+5.00%	P3,279
	-5.00%	(3,279)

2024		
Market Indices	Change in Variable	Impact on Equity Increase (Decrease)
PSEi	+5.00%	P4,455
	-5.00%	(4,455)

Deferral of PFRS 9

PFRS 9 reflects all phases of the financial instruments project and replaces PAS 39 (effective January 1, 2018): Recognition and Measurement, and all previous versions of PFRS 9. The standard introduces new requirements for classification and measurement, impairment, and hedge accounting. Retrospective application is required but providing comparative information is not compulsory. For hedge accounting, the requirements are generally applied prospectively, with some limited exceptions.

Amendments to PFRS Accounting Standards allows insurance entities whose predominant activities at its annual reporting date that immediately precedes April 1, 2016 are to issue contracts within the scope of PFRS 4 an optional temporary exemption from applying PFRS 9 (deferral approach). The Company is qualified for and elected to take the deferral approach as its activities are predominantly connected with insurance since as at December 31, 2015, the Company's total carrying amount of liabilities connected with insurance represents more than 90% of its total liabilities. The Company did not subsequently reassess its eligibility for the temporary exemption from PFRS 9 as there was no change in the Company's activities for the year ended December 31, 2020. Consequently, the Company will continue to apply PAS 39, the existing financial instrument standard until the effectivity date of PFRS 17.

The separate financial statements have been prepared on a going concern basis using the measurement bases specified by PFRS Accounting Standards for each type of asset, liability, income and expense. These separate financial statements have been prepared on the historical cost basis, except for the revaluation of certain financial assets. The measurement bases are more fully described in the accounting policies that follow.

The following table provides an overview of the fair values as at December 31, 2025 and 2024, and the amounts of change in the fair values during the reporting period separately for financial assets that meet the solely payments of principal and interest (SPPI) criterion (i.e. financial assets with contractual terms that give rise on specified dates to cash flows that are SPPI on the principal amount outstanding, excluding any financial asset that meets the definition of held for trading in PFRS 9, or that is managed and whose performance is evaluated on a fair value basis) and all other financial assets:

	Note	2025			
		Financial Assets that Meet the SPPI Criteria*		All Other Financial Assets	
		Fair Value	Fair Value Change During the Reporting Period	Fair Value	Fair Value Change During the Reporting Period
Asset					
Cash and cash equivalents**	4, 31	P876,299,314	P -	P -	P -
Insurance receivables - net	5, 28	66,957,950	-	-	-
Financial assets:					
Available-for-sale financial assets	6, 28, 31	-	-	190,944	(17,635)
Held-to-maturity investments	6, 28, 31	334,314,374	-	-	-
Loans and receivables	6, 28, 31	4,443,897	-	-	-
Investment at FVPL	6, 28, 31	-	-	120,073	4,878
Due from related party	6, 28, 31	200,000,000	-	-	-
Investment in a subsidiary		-	-	81,821,881	-
		P1,482,015,535	P -	P82,132,898	(P12,757)

* Excluding any financial asset that meets the definition of held for trading in PFRS 9, or that is managed and whose performance is evaluated on a fair value basis.

** Excluding cash on hand.

2024					
	Note	Financial Assets that Meet the SPPI Criteria*		All Other Financial Assets	
		Fair Value	Fair Value Change During the Reporting Period	Fair Value	Fair Value Change During the Reporting Period
Asset					
Cash and cash equivalents**	4, 31	P872,364,786	P -	P -	P -
Insurance receivables - net	5, 28	50,020,239	-	-	-
Financial assets:					
Available-for-sale financial assets	6, 28, 31	-	-	214,456	(43,993)
Held-to-maturity investments	6, 28, 31	328,352,094	-	-	-
Loans and receivables	6, 28, 31	4,157,453	-	-	-
Investment at FVPL	6, 28, 31	-	-	115,195	6,898,704
Advances to a subsidiary	6, 28, 31	200,000,000	-	-	-
Investment in a subsidiary		-	-	81,821,881	-
		P1,454,894,572	P -	P82,151,532	P6,854,711

* Excluding any financial asset that meets the definition of held for trading in PFRS 9, or that is managed and whose performance is evaluated on a fair value basis.

** Excluding cash on hand.

The information about the credit risk exposures for financial assets with contractual terms that meet the SPPI criterion at December 31, 2025 and 2024 is consistent with the credit risk disclosure above under PAS 39.

31. Fair Value Measurements

The table below sets forth the carrying values and estimated fair values of financial assets and liabilities recognized as at December 31, 2025 and 2024.

	Note	2025		2024	
		Carrying Value	Fair Value	Carrying Value	Fair Value
Financial Assets					
Cash and cash equivalents*	4, 30	P876,299,314	P876,299,314	P872,364,786	P872,364,786
Insurance receivables:	5				
Premiums receivable		72,571,549	72,571,549	50,676,813	50,676,813
Reinsurance recoverable on paid losses		21,618,166	21,618,166	22,536,270	22,536,270
Due from ceding companies		8,224,783	8,224,783	8,940,656	8,940,656
Funds held by ceding companies		12,372,039	12,372,039	12,372,039	12,372,039
AFS financial assets	6, 28, 30	190,944	190,944	214,456	214,456
HTM investments	6, 28, 30	334,314,374	334,314,374	328,352,094	328,352,094
Loans and other receivables	6, 28, 30	4,443,897	4,443,897	4,157,453	4,157,453
Due from related party	6, 28, 30	200,000,000	200,000,000	-	-
Advances to a subsidiary	6, 28, 30	-	-	200,000,000	200,000,000
Investment in a subsidiary		81,821,881	81,821,881	81,821,881	81,821,881
Investment at FVPL	28, 30	120,073	120,073	115,195	115,195
Total Financial Assets		P1,611,977,020	P1,611,977,020	P1,581,551,643	P1,581,551,643
Other Financial Liabilities					
Insurance contract liabilities**	13, 30	P31,473,062	P31,473,062	P52,218,550	P52,218,550
Insurance payables	14, 28, 30	3,323,262	3,323,262	7,769,518	7,769,518
Commission payable	28, 30	19,958,072	19,958,072	11,942,435	11,942,435
Other payables***	15, 30	7,332,314	7,332,314	6,113,967	6,113,967
Total Other Financial Liabilities		P62,086,710	P62,086,710	P78,044,470	P78,044,470

*excluding cash on hand.

**excluding IBNR and UPR.

***excluding Taxes Payable

The carrying amount of financial assets and liabilities of the Company for the years 2025 and 2024 approximate the fair value.

Due to the short-term nature of cash and cash equivalents, insurance receivables, loans and other receivables, due from related party, advances to a subsidiary, investment in a subsidiary, insurance contract liabilities (excluding IBNR and UPR), insurance payables, commission payables and other payables (excluding taxes payable), their carrying values reasonably approximate their fair values at reporting date.

The carrying amount of HTM investments and security and deposit fund (presented under the “Other assets” account) approximates fair value at year-end. The management believes that the effect of discounting and future cash flows of this instrument using the prevailing market rate is not significant.

The fair values of financial instruments under AFS that are actively traded in organized financial markets are determined by reference to quoted market prices at the close of business on the reporting date. For unquoted equity instruments that are not carried at fair value because fair value cannot be reliably determined, these are carried at cost.

Fair Value Hierarchy

The following table provides the fair value hierarchy of the Company’s assets as at December 31, 2025 and 2024:

	2025			Total
	Level 1	Level 2	Level 3	
Assets measured at fair value				
AFS financial assets:				
Common shares	P65,588	P -	P -	P65,588
Golf and club shares	-	-	-	-
Investment at FVPL	120,073	-	-	120,073
	P185,661	P -	P -	P185,661

	2024			Total
	Level 1	Level 2	Level 3	
Assets measured at fair value				
AFS financial assets:				
Common shares	P89,101	P -	P -	P89,101
Golf and club shares	-	-	-	-
Investment at FVPL	115,195	-	-	115,195
	P204,296	P -	P -	P204,296

Nonfinancial Assets

As at December 31, 2025 and 2024, the fair value of the Company’s property and equipment amounted to P15.33 million and P15.85 million, respectively, using level 2 inputs. Similarly, the fair value of the Company’s investment property amounted to P16.26 million and nil in 2025 and 2024, respectively. The recurring fair value of nonfinancial assets under level 2 are determined using market data approach (see Note 10 and 11).

In 2025 and 2024, there were no transfers between level 1 and level 2 fair value movements, and no transfers into and out of level 3 fair value measurement of the Company’s financial and nonfinancial assets.

32. Reclassification

In 2025, the Company reclassified certain accounts and transactions in the statement of cash flows for the year ended December 31, 2024. The reclassification pertains to acquisition and redemption of financial assets at FVPL which were previously presented under Investing activities but now classified under Operating activities to correctly present the nature of these transactions. Accordingly, comparative information for the year ended December 31, 2024 has been reclassified to conform with the current year’s presentation.

The table presents the effects of these reclassifications on the previously reported amounts:

Statements of Cash Flows	As Previously Presented	Reclassification Adjustment	As Reclassified
Cash Flows from Operating Activities			
Changes in :			
Investment in Fair value through profit or loss	P -	P6,893,179	P6,893,179
Net cash used in operations	(38,997,253)	6,893,179	(32,104,074)
Net cash used in operating activities	(7,898,196)	6,893,179	(1,005,017)
Cash Flows from Investing Activities			
Acquisitions of:			
Fair value through profit or loss	(277,793,857)	277,793,857	-
Redemption of fair value through profit or loss	284,687,036	(284,687,036)	-
Net cash used in investing Activities	(P181,243,247)	(P6,893,179)	(P188,136,426)

The above reclassifications have no material effect on the statement of financial position, statement of profit and loss and other comprehensive income, and income tax as at and for the year then ended. Accordingly, management did not need to present the statement of financial position at the beginning of the earliest comparative period.

33. Subsequent Events

Subsequent to December 31, 2025, the Insurance Commission issued a Cease-and-Desist Order (CDO) to the Company for its failure to address its net worth deficiency of P50.43 million on March 25, 2026. The Company was consequently placed under conservatorship.

On April 10, 2026, the Company made the capital infusion to meet its net worth requirement for 2025. As of date, the CDO has not been lifted thus pose a material uncertainty relating to going concern.

The Company's management implemented corrective measures during the imposition of the CDO. The management also implemented resolutions aimed at strengthening governance, enhancing operational controls, ensuring regulatory compliance, and supporting the Company's financial recovery and long-term sustainability.

34. Supplementary Information Required Under Revenue Regulation No. 15-2010 of the Bureau of Internal Revenue (BIR)

In addition to the disclosure mandated under PFRS Accounting Standards, and such other standards and/or conventions as may be adopted, companies are required by the BIR to provide in the notes to the separate financial statements, certain supplementary information for the taxable year. The amounts relating to such supplementary information may not necessarily be the same with those amounts disclosed in the separate financial statements which were prepared in accordance with PFRS Accounting Standards. Following are the tax information/disclosures required for the taxable year ended December 31, 2025:

A. VAT

	Amount
1. Output VAT	
Basis of the Output VAT:	
Vatable receipts	P77,064,041
Exempt receipts	-
Zero rated receipts	-
Total vatable receipts	P77,064,041
2. Input VAT	
Beginning of the year	P -
Current year's domestic purchases:	
a. Goods for resale/manufacture or further processing	-
b. Goods other than for resale or manufacture	5,947,744
c. Services lodged under other accounts	18,031,412
d. Importation of goods other than capital goods	-
Input tax deferred on capital goods exceeding P1 million	-
Claims for tax credit/refund and other adjustments	-
Input VAT on services lodged under other accounts	-
Total Input VAT claimed during the year	(23,979,156)
Balance at the end of the year	P -

B. Withholding Taxes

	Amount
Expanded withholding taxes	P1,329,617
Withholding taxes on compensation	674,336
	P2,003,953

C. All Other Taxes (Local and National)

	Amount
<i>Other taxes paid during the year recognized as</i>	
<i>"Taxes and licenses" account under Operating</i>	
<i>Expenses</i>	
Business tax	P204,108
Deficiency tax	5,025,573
Others	403,146
	P5,632,827

Information on amounts of custom duties, tariff fees, excise taxes and documentary stamp taxes is not applicable since there are no transactions that the Company would be subjected to these taxes in 2025.

A. Tax Assessments and Tax Cases

The Company received the Formal Letter of Demand (FLD) on December 9, 2021 for deficiency income tax, VAT, EWT, documentary stamp tax, and compromise penalty for the taxable year 2018 in the total amount of P7.42 million. Management responded to the said FLD on January 6, 2022, the resolution of which remains pending as at December 31, 2025.

Further, Letter of Authority for the taxable years 2021 and 2022 were received on November 28, 2022 and January 11, 2024, respectively. During 2024 and 2025, the Company settled its outstanding tax deficiencies relating to taxable year 2022 and 2021 amounting to P2.49 million and P5.86 million, respectively.